



**A custom insurance policy prepared for:
Juker Holding Ltd.**

310, 10991 Shellbridge Way
Richmond, British Columbia Canada V6X 3C6

Policy Number

S4002127762

Policy Period

01/01/2026 to 01/01/2027

Renewal

Broker

Aon Reed Stenhouse Inc.

Insurer

**The Sovereign General
Insurance Company**



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Thank You for Choosing Sovereign Insurance

Thank you for choosing Sovereign Insurance. We're proud to partner with you.

We believe experience matters

It matters because meeting your needs is at the heart of our ability to provide exemplary service and comprehensive protection for your businesses. We strive to understand your business, deliver the right protection, and empower you to make your operations better. This means better protection of the lives, families and communities you impact.

About Us

What we do	Why we do it	How we do it
We empower Canadian businesses to succeed by developing and distributing risk solutions they trust and value.	We're passionate about protecting Canadian businesses and the communities they serve.	We focus on what your business needs, not what we have to sell. We help protect you today, and against new and emerging risk exposures.

The Sovereign Difference

- + Tailored coverage limits and terms – with a focus on greater value
- + Complete package solutions – reduces potential for gaps in coverage
- + Exceptional claims experience – keeping you informed throughout the process
- + On-site risk consulting – help strengthen your risk management practices

Financially Strong

- AM Best A (Excellent) rating
- Protecting Canadian businesses since 1953
- Wholly owned subsidiary of The Co-operators General Insurance Company

As a wholly owned subsidiary of The Co-operators General Insurance Company since 1987, our clients get the best of both worlds: all the benefits of working with a boutique sized, agile company and the financial strength of one of Canada's largest property and casualty insurers.

Visit sovereigninsurance.ca to learn more about our products, solutions, and expertise.

OUR CLAIMS COMMITMENT

Introduction

At Sovereign Insurance when you have a claim, we promise to provide an exceptional claims experience. Our experienced claims team will handle your claim efficiently and keep you informed throughout the process.

To submit a claim to Sovereign Insurance, you may:

- Report your claim to us through your broker; or,
- Report directly to us:

By Telephone:

- During Regular Business Hours: 1-833-376-8436
- After-Hours Emergencies:
 - All claims, except Cyber Claims: 1-877-268-5888
 - Cyber Claims (Norton Rose Fulbright): 1-866-BREACHX (1-866-273-2249)

By Email: newclaims@sovgen.com

Online: <https://www.sovereigninsurance.ca/Claims>

We recognize that there may be times when you feel we haven't delivered on the experience we promise. If you have a concern, please refer to our Complaint resolution process available under Consumer Information section on www.sovereigninsurance.ca

CODE OF CONSUMER RIGHTS AND RESPONSIBILITIES

Introduction

Insurance companies, along with the brokers and agents who sell home, auto and business insurance, are committed to protecting **your rights**. These include the right to be informed fully, to be treated with respect, to timely claims handling and complaint resolution, and to privacy.

Insurance is a two-way contract, and you have a role to play. **You are responsible** for understanding your needs, asking questions and providing accurate, up-to-date information to your insurer. For more information about your role, speak to your insurance representative and read your policy.

Right to Be Informed

You have the right to an easy-to-understand explanation of how insurance works and how insurers calculate price based on relevant facts. You can expect to access clear information about your policy, your coverage and the claims settlement process. Under normal circumstances, insurers will advise an insurance customer of changes to, or the cancellation of, a policy at least 30 days prior to the expiration of the policy.

You have the right to know how your broker or agent is compensated, and if they have any conflicts of interest.

Right to Timely and Transparent Claims Handling

You can expect qualified staff to respond to your claim in a timely manner. You have the right to be informed of procedures and timelines for settling your claim, as well as the status of your claim. If your claim is denied, you have the right to be informed why.

Right to Complaint Resolution

You can access your company's complaint resolution process. Your insurer, agent or broker can provide you with information about how you can ensure that your complaint is heard and promptly handled. You may also contact your provincial insurance regulator or the independent General Insurance OmbudService (www.giocanada.org).

Right to Privacy

You have the right to understand how your personal information will be used. All insurers have privacy statements and are subject to Canada's privacy laws. Ask your insurer to provide you with a copy of its privacy statement.

Responsibility to Understand Your Needs

You are responsible for asking questions and educating yourself about your policy. Visit Insurance 101: Buying Tips (www.ibc.ca) for information about questions you should ask your insurance provider. Make sure you ask all relevant questions and give your insurance provider a detailed explanation of your circumstances to help them make informed recommendations on what your policy should include. This will ensure that you have the right insurance coverage.

You are responsible for making premium payments as required by your insurer. Failure to do so could result in a lapse of coverage or cancellation of your policy.

Responsibility to Provide Accurate Information

You are required to provide all relevant information in your application for insurance and you must ensure that the information is accurate. If you have questions about the application or policy, contact your insurance representative and have them explain it to you to ensure that you understand your and the insurer's obligations.

Responsibility to Update Your Information

To maintain your protection against loss, you must promptly inform your insurance company, broker or agent of any change in your circumstances.

Responsibility to Report the Facts

You must report an accident or claim, providing complete and accurate details, as soon as possible following the accident or incident giving rise to the claim.

POLICY LEVEL DECLARATIONS

Policy Level Coverage Section

Named Insured:

Juker Holding Ltd.

310, 10991 Shellbridge Way
Richmond, British Columbia Canada V6X 3C6

Broker

Aon Reed Stenhouse Inc.

Floor 1700 777 Dunsmuir Street
Vancouver, British Columbia Canada V7Y 1K4
Phone: (604) 688-4442

Policy Information

Insurer: The Sovereign General Insurance Company

Policy Number: S4002127762

Replacing Policy Number: S4002127762

Transaction Type: Renewal

Effective Date: 01/01/2026

Policy Period: Effective Date: 01/01/2026

Expiry Date: 01/01/2027
(12:01 a.m. local standard time at the Named Insured's mailing address shown above)

Notice of Termination: 30 Days (by the Insurer for any reason other than for non-payment of premium)

Currency: CAD

About this Policy

The Policy is the instrument evidencing the entire contract of insurance between the Named Insured and the Insurer. These Policy Level Declarations, together with the Declarations, forms, endorsements and schedules attached at the Effective Date of the Policy Period and any attached during the Policy Period, make up and complete the above numbered Policy.

In return for payment of the premium, and subject to all the terms and conditions of this Policy, the Insurer agrees with the Named Insured to provide the insurance as stated in this Policy.

Various provisions in this Policy may restrict coverage. Please read the entire Policy carefully to determine what is and is not covered, and to confirm that the information shown in the Declarations is correct. If you have any questions or would like to make changes to your Policy, please contact your broker.

This Policy contains a clause(s) that may limit the amount payable.

Policy Coverage Sections

This **Policy** consists of the Policy Level Coverage Section and one or more other Coverage Sections as shown below.

The **Policy Level Coverage Section** consists of the Policy Level Declarations, along with schedules, forms and endorsements that apply to the entire Policy, unless specified otherwise.

Each other **Coverage Section** consists of one or more Coverage Forms.

Each **Coverage Form** consists of Declarations, along with schedules and endorsements that apply to that Coverage Form, unless specified otherwise.

Coverage Section	Premium
Equipment Breakdown	\$1,982
Total Policy Premium	\$1,982.00

The Authorized Signature of the Insurer below represents the Insurer's acceptance of the terms and conditions of the Policy, but the Policy is not valid unless countersigned by a duly authorized representative of the Insurer, where required.

 Robert Wesseling President and Chief Executive Officer Authorized Signature of Insurer Date (DD/MM/YYYY): 06/01/2026	Authorized Representative Countersignature:
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SCHEDULE OF POLICY LEVEL FORMS

Policy Level Coverage Section

The following schedules, forms and endorsements are attached to and form part of the Policy Level Declarations.

Form Name	Form #
Policy Level Terms and Conditions	PY-C001.1
Statutory Conditions and General Conditions	PY-C002.1
Schedule of Named Insureds	SCH-005.1

SCHEDULE OF NAMED INSUREDS

Policy Level Coverage Section

The Named Insured shown in the Policy Level Declarations is amended to read as follows:

Juker Holding Ltd.
and Coal Island Ltd.

EQUIPMENT BREAKDOWN DECLARATIONS AND EQUIPMENT BREAKDOWN BUSINESS INCOME DECLARATIONS

Equipment Breakdown Coverage Section

Premium

Equipment Breakdown Coverage Section Total Premium	\$1,982
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Scheduled Basis

Location #1: 920 Derwent Way, Delta, British Columbia Canada V3M 5R2			
Coverage	Form #	Deductible	Limit of Insurance
Equipment Breakdown Coverage Form	EB-C001.1		
Pressure, Mechanical and Electrical Equipment			
Including Production Machinery			
Including Electronic Equipment			
Property Damage Coverage		\$1,000	\$40,055,758
Except Production Machinery		\$2,500	Included
Except HVAC Units		\$2,500	Included
Coverage	Form #	Coinsurance	Limit of Insurance
Equipment Breakdown Business Income Coverage Form	EB-C301.1		
Gross Rents		100%	\$4,898,704
Indemnity Period: 18 Months			
Waiting Period/Multiple of Average Daily Value: 24 Hours			
Except Production Machinery: 48 Hours			

Location #2: 16050 Fraser Highway, Surrey, British Columbia Canada V3S 2W8			
Coverage	Form #	Deductible	Limit of Insurance
Equipment Breakdown Coverage Form	EB-C001.1		
Pressure, Mechanical and Electrical Equipment			
Including Production Machinery			
Including Electronic Equipment			
Property Damage Coverage		\$1,000	\$5,178,417
Except Production Machinery		\$2,500	Included
Except HVAC Units		\$2,500	Included

Coverage	Form #	Coinsurance	Limit of Insurance
Equipment Breakdown Business Income Coverage Form	EB-C301.1		
Gross Rents		100%	\$905,970
Indemnity Period: 18 Months			
Waiting Period/Multiple of Average Daily Value: 24 Hours			
Except Production Machinery: 48 Hours			

Location #3: 9150 Main Street, Osoyoos, British Columbia Canada V0H 1V2

Coverage	Form #	Deductible	Limit of Insurance
Equipment Breakdown Coverage Form	EB-C001.1		
Pressure, Mechanical and Electrical Equipment			
Including Production Machinery			
Including Electronic Equipment			
Property Damage Coverage		\$1,000	\$11,276,597
Except Production Machinery		\$2,500	Included
Except HVAC Units		\$2,500	Included

Coverage	Form #	Coinsurance	Limit of Insurance
Equipment Breakdown Business Income Coverage Form	EB-C301.1		
Gross Rents		100%	\$917,951
Indemnity Period: 18 Months			
Waiting Period/Multiple of Average Daily Value: 24 Hours			
Except Production Machinery: 48 Hours			

Location #4: 2360 Dolphin Road, North Saanich, British Columbia Canada V8L 5V2

Coverage	Form #	Deductible	Limit of Insurance
Equipment Breakdown Coverage Form	EB-C001.1		
Pressure, Mechanical and Electrical Equipment			
Including Production Machinery			
Including Electronic Equipment			
Property Damage Coverage		\$1,000	\$1,594,642
Except Production Machinery		\$2,500	Included
Except HVAC Units		\$2,500	Included

Coverage	Form #	Coinsurance	Limit of Insurance
Equipment Breakdown Business Income Coverage Form	EB-C301.1		
Gross Rents		100%	\$86,751
Indemnity Period: 18 Months			
Waiting Period/Multiple of Average Daily Value: 24 Hours			

Coverage	Form #	Coinsurance	Limit of Insurance
Except Production Machinery: 48 Hours			

Location #5: 2350 Dolphin Road, North Saanich, British Columbia Canada V8L 5V2			
Coverage	Form #	Deductible	Limit of Insurance
Equipment Breakdown Coverage Form	EB-C001.1		
Pressure, Mechanical and Electrical Equipment			
Including Production Machinery			
Including Electronic Equipment			
Property Damage Coverage		\$1,000	\$549,425
Except Production Machinery		\$2,500	Included
Except HVAC Units		\$2,500	Included

Location #6: 301, 10991 Shellbridge Way, Richmond, British Columbia Canada V6X 3C6			
Coverage	Form #	Deductible	Limit of Insurance
Equipment Breakdown Coverage Form	EB-C001.1		
Pressure, Mechanical and Electrical Equipment			
Including Production Machinery			
Including Electronic Equipment			
Property Damage Coverage		\$1,000	\$494,087
Except Production Machinery		\$2,500	Included
Except HVAC Units		\$2,500	Included

Location #7: 45 Front Street, Nanaimo, British Columbia Canada V9R 5H9			
Coverage	Form #	Deductible	Limit of Insurance
Equipment Breakdown Coverage Form	EB-C001.1		
Pressure, Mechanical and Electrical Equipment			
Including Production Machinery			
Including Electronic Equipment			
Property Damage Coverage		\$1,000	\$1
Except Production Machinery		\$2,500	Included
Except HVAC Units		\$2,500	Included

Coverage	Form #	Coinsurance	Limit of Insurance
Equipment Breakdown Business Income Coverage Form	EB-C301.1		
Gross Rents		100%	\$203,059
Indemnity Period: 18 Months			
Waiting Period/Multiple of Average Daily Value: 24 Hours			
Except Production Machinery: 48 Hours			

Location #8: 55 Front Street, Nanaimo, British Columbia Canada V9R 5H9

Coverage	Form #	Deductible	Limit of Insurance
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Equipment Breakdown Coverage Form	EB-C001.1		
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Pressure, Mechanical and Electrical Equipment

Including Production Machinery

Including Electronic Equipment

Property Damage Coverage	\$1,000	\$1
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Except Production Machinery	\$2,500	Included
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Except HVAC Units	\$2,500	Included
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Coverage	Form #	Coinsurance	Limit of Insurance
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Equipment Breakdown Business Income Coverage Form	EB-C301.1		
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Gross Rents

100%

\$168,335

Indemnity Period: 18 Months

Waiting Period/Multiple of Average Daily Value: 24 Hours

Except Production Machinery: 48 Hours

Location #9: 65 Front Street, Nanaimo, British Columbia Canada V9R 5H9

Coverage	Form #	Deductible	Limit of Insurance
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Equipment Breakdown Coverage Form	EB-C001.1		
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Pressure, Mechanical and Electrical Equipment

Including Production Machinery

Including Electronic Equipment

Property Damage Coverage	\$1,000	\$16,934,602
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Except Production Machinery	\$2,500	Included
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Except HVAC Units	\$2,500	Included
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Coverage	Form #	Coinsurance	Limit of Insurance
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Equipment Breakdown Business Income Coverage Form	EB-C301.1		
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Gross Rents

100%

\$1,149,400

Indemnity Period: 18 Months

Waiting Period/Multiple of Average Daily Value: 24 Hours

Except Production Machinery: 48 Hours

Extensions of Coverage		Form #	
Equipment Breakdown Coverage Form		EB-C001.1	
Extension of Coverage	Limit of Insurance	Extension of Coverage	Limit of Insurance
Ammonia Contamination	\$250,000	Extra Expense Deductible: 24 Hours Waiting Period	\$250,000
Brands and Labels	\$500,000	Green Coverage and Environmental Upgrade	\$50,000
By-Laws	\$1,000,000	Hazardous Substances	\$500,000
Claims Preparation Costs and Professional Fees	\$500,000	Newly Acquired Locations Number of Consecutive Days: 90	\$1,000,000
Debris Removal	\$1,000,000	Off Premises Transportable Insured Equipment	\$10,000
Electronic Data Restoration Costs	\$25,000	Spoilage Food in Cold Storage:	\$25,000
Environmental, Safety and Efficiency Improvements	Included	Unintentional Errors and Omissions	\$500,000
Expediting Expense	\$500,000	Water Damage	\$500,000

Extension of Coverage		Form #	
Equipment Breakdown Business Income Coverage Form		EB-C301.1	
Extension of Coverage	Limit of Insurance	Extension of Coverage	Limit of Insurance
Cloud Computing Service Interruption	Included	Interruption by Civil Authority Number of Consecutive Days: 30	Included
Contingent Business Income Waiting Period: 48 Hours	\$50,000	Public Relations	\$25,000
Ingress/Egress Number of Consecutive Days: 30	Included	Service Interruption	Included

Manuscript Endorsements

Coverage	Form #
Equipment Breakdown	
Equipment Breakdown Coverage Form	EB-C001.1
Deductible Waiver Endorsement	EB-M001

Policy Level Terms and Conditions

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Policy Level Terms and Conditions

These Policy Level Terms and Conditions are part of the Policy. Various provisions in these Policy Level Terms and Conditions and the Policy restrict coverage. Read the entire Policy carefully to determine rights, duties and what is and is not covered.

Throughout these Policy Level Terms and Conditions, the words Named Insured refers to the person or organization stated as such in the Policy Level Declarations and any other person or organization qualifying as a Named Insured under the Policy. The word Insured refers to any other person or organization qualifying as an insured under the Policy and includes the Named Insured. The word Insurer refers to the company(ies) providing this insurance.

Words and phrases that appear in **bold** font have special meaning as defined within these Policy Level Terms and Conditions.

The titles of the various sections, paragraphs, and clauses of the Policy and any endorsements attached to the Policy are inserted solely for convenience or reference and are not to be deemed in any way to limit or affect the provisions to which they relate.

SECTION I – APPLICATION OF POLICY LEVEL TERMS AND CONDITIONS

Unless specifically stated otherwise:

1. These Policy Level Terms and Conditions apply to the entire Policy, including all individual Coverage Sections that are part of the Policy.
2. In the event of any conflict between these Policy Level Terms and Conditions and the terms and conditions of any individual Coverage Section, the terms of the individual Coverage Section will apply.

SECTION II – POLICY LEVEL EXTENSIONS OF COVERAGE

1. Declaration of Emergency – Extension of Termination or Expiry Date

If requested by the Named Insured:

- (a) The effective date of termination of the Policy by the Insurer is extended; or
- (b) The expiry date of the Policy as shown in the Policy Level Declarations is extended;

when an **emergency** is declared by a Canadian public authority designated by statute for the purpose of issuing such an order, subject to the following terms and conditions:

- (1) The **emergency** must have a direct effect or impact on:
 - (i) The Named Insured, the insured site or insured property located in the declared **emergency** area; or
 - (ii) The operations of the Insurer or its agent/broker located in the declared **emergency** area; and

The **emergency** must prevent, or make it not possible, after exercising commercially reasonable efforts and using available means of communication, for the Named Insured to effectively renew or seek alternative insurance coverage.

(2) Extension of Termination or Expiry Date

(i) Termination by Insurer

Any time limitation described in these Policy Level Terms and Conditions, the Statutory Conditions, or the General Conditions (applicable in the province of Quebec), as applicable, with respect to termination of the Policy by the Insurer, will not continue to run until the **emergency** is terminated plus the lesser of:

- a. Thirty (30) days; or
- b. The number of days equal to the total time the **emergency** order was in effect.

(ii) Expiring Policy

If the Policy is due to expire during an **emergency**, it will continue in force until the **emergency** is terminated plus the lesser of:

- a. Thirty (30) days; or
- b. The number of days equal to the total time the **emergency** order was in effect.

- (3) In no event will the total term of this extension exceed 120 consecutive days.
- (4) The Limits of Insurance of the Policy will not be increased or reinstated, nor will any coverage or notice period provided by the Policy be changed, based on the extension of the effective date of termination or the expiry date of the Policy as described under this Extension of Coverage. When the Policy's effective date of termination or expiry date is extended as described under this Extension of Coverage, all other terms and conditions of the Policy will remain unchanged.
- (5) The Named Insured agrees to pay the pro rata premium earned for the additional time the Policy remains in force as a result of this Extension of Coverage.

DEFINITIONS

For the purposes of this Extension of Coverage, **emergency** means the first statutory declaration of a state of emergency:

(a) With respect to a situation, or an impending situation, that constitutes a danger of major proportions that could result in serious harm to persons or substantial damage to property and that is caused by:

- (1) The forces of nature;
- (2) A disease or other health risk;
- (3) An accident; or
- (4) An act whether intentional or otherwise; or

(b) As provided for by the relevant governing legislation if different from (a).

Emergency does not include any subsequent statutory declaration(s) that may be issued relating to the same event.

SECTION III – POLICY LEVEL CONDITIONS

1. Cancellation/Termination of Insurance

This Cancellation/Termination of Insurance condition applies subject to any applicable General Condition (applicable in the province of Quebec) or Statutory Condition in any other province or territory. The first Named Insured shown in the Policy Level Declarations will act on behalf of all other Named Insureds with respect to the giving and receiving of all notices of termination of insurance.

(a) Termination by the First Named Insured

- (1) The Policy or any part of it may be terminated by the first Named Insured shown in the Policy Level Declarations at any time on request.
- (2) If the Policy or any part of it is terminated by the first Named Insured:
 - (i) Any unearned premium will be calculated on a short-rate basis in accordance with the Short Rate Cancellation Table included in the Policy.
 - (ii) The Insurer will refund any unearned premium due to the first Named Insured as soon as practicable, but the Insurer will receive or retain any applicable minimum retained premium stated in the Policy or in the Policy Level Declarations.

(b) Termination by the Insurer

- (1) The Policy or any part of it may be terminated by the Insurer giving to the first Named Insured shown in the Policy Level Declarations written notice of termination at least:
 - (i) Fifteen (15) days before the effective date of termination if the Insurer terminates for non-payment of premium; or
 - (ii) Thirty (30) days, or as otherwise specified in the Policy Level Declarations, before the effective date of termination if the Insurer terminates for any reason other than non-payment of premium.

The number of days' notice referred to above starts to run on the date the registered letter or notification of it is delivered to the first Named Insured's last postal address known to the Insurer.

- (2) If the Policy or any part of it is terminated by the Insurer:
 - (i) The Insurer's notice of termination will be sent by registered mail or personally delivered to the first Named Insured's last postal address known to the Insurer.
 - (ii) Any unearned premium will be calculated on a pro-rata basis.
 - (iii) The Insurer will refund any unearned premium due to the first Named Insured, but the Insurer will receive or retain any applicable minimum retained premium stated in the Policy or in the Policy Level Declarations.
 - (iv) The refund will accompany the notice unless the premium is subject to adjustment or determination, in which case the refund will be made as soon as practicable.

(c) If the Policy is terminated, the effective date of termination will become the end of the policy period. If a part of the Policy is terminated, that date will become the end of the policy period with respect to that part only.

(d) If the Policy or any part of it is excess insurance and is subject to a statutory provision of any applicable *Insurance Act* that provides where the underlying contract designated in the excess contract terminates or is terminated, the excess contract is also automatically terminated, then the Policy or the applicable part of it will automatically terminate in accordance with such statutory provision. The Insurer will refund any unearned premium due to the first Named Insured in accordance with this Cancellation/Termination of Insurance condition.

2. Conformity to Statute

If any part of the Policy conflicts with a statute applicable to the Policy, then that part is amended to conform to such statute, and the remainder of the Policy will remain in full force and effect.

3. Coverage Section Terms and Conditions

The terms and conditions contained within each individual Coverage Section of the Policy apply only to the Coverage Section in which they are found and will not be construed to apply to any other Coverage Section, unless specifically stated otherwise.

4. Currency

All premiums, deductibles, loss payments, limits of insurance and other amounts as expressed in the Policy are in Canadian currency, unless stated otherwise in the Policy Level Declarations.

5. Economic and Trade Sanctions

This insurance does not apply to the extent that economic or trade sanctions, or embargoes, imposed or authorized by Canadian law or regulation prohibit the Insurer from providing insurance.

6. Examination and Audit of the Named Insured's Books and Records

The Insurer, or their representative, may examine and audit the Named Insured's books and records as they relate to the Policy at any time during the policy period and up to three years afterwards.

7. First Named Insured

The first Named Insured shown in the Policy Level Declarations is the only Named Insured authorized to act on behalf of all other Named Insureds with respect to certain rights, obligations and duties under the Policy, including without limitation, the following Policy Level Conditions:

- (a) Condition 1. Cancellation/Termination of Insurance;
- (b) Condition 11. Policy Changes; and
- (c) Condition 12. Premiums.

8. Governing Law and Jurisdiction

- (a) The terms and conditions of the Policy will be governed by and interpreted in accordance with:
 - (1) The laws of the Canadian province or territory where the Named Insured has its principal Mailing Address, as specified in the Policy Level Declarations, and the laws of Canada applicable therein; or
 - (2) In the event of loss of or damage to property insured by the Policy, the laws of the Canadian province or territory where the lost or damaged property is located at the time of loss. However, if the lost or damaged property is located outside of Canada at the time of loss, the Policy will be governed by and interpreted in accordance with the laws of the Canadian province or territory specified in (a)(1) above.
- (b) Subject to the applicable dispute resolution process set out in the applicable *Insurance Act* or in the Policy, in the event of any disputes concerning the terms and conditions of the Policy, the parties must submit to the exclusive jurisdiction of a Court of competent jurisdiction in Canada and the parties must comply with all requirements necessary to give the Court such jurisdiction.

9. Inspections and Surveys

- (a) The Insurer has the right to:
 - (1) Make inspections and surveys at any time;
 - (2) Give the Named Insured reports on the conditions the Insurer finds; and
 - (3) Recommend changes.
- (b) The Insurer is not obligated to make any inspections, surveys, reports or recommendations and any such actions the Insurer does undertake relate only to insurability and the premiums to be charged. The Insurer does not make safety inspections. The Insurer does not undertake to perform the duty of any person or organization to provide for the safety of workers or the public. And the Insurer does not warrant that conditions:
 - (1) Are safe or healthful; or
 - (2) Comply with laws, regulations, codes or standards.

This condition applies not only to the Insurer, but also to any rating, advisory, rate service or similar organization which makes insurance inspections, surveys, reports or recommendations.

10. Liberalization

If, during the policy period, the Insurer revises any standard form or endorsement that is included in the Policy to provide broader coverage without an additional premium charge, then the Policy will automatically provide the broader coverage as of the effective date of the revision.

11. Policy Changes

The Policy contains all the agreements between the Named Insured and the Insurer concerning the insurance provided by the Policy. The first Named Insured may request changes to the terms of Policy, but the Policy terms can only be amended or waived by endorsement issued by the Insurer and made a part of the Policy. Notice to any agent or broker, or knowledge possessed by any agent, broker or by any other person will not create a waiver, or change any part of the Policy, or prevent the Insurer from asserting any rights under the provisions of the Policy.

12. Premiums

- (a) The first Named Insured shown in the Policy Level Declarations is responsible for the payment of all premiums and will be the payee for any return premiums the Insurer pays.
- (b) The Insurer will calculate all premiums for the Policy in accordance with the Insurer's rules, rates, and minimum premiums.
- (c) If premiums are subject to a premium adjustment, an endorsement will be attached to the Policy that explains what premiums are subject to adjustment, the Named Insured's reporting obligations, and how premiums will be estimated and adjusted.
- (d) If a minimum retained premium is specified in the Policy, such premium is the minimum amount the Named Insured will pay for the policy period.

13. Transfer of the Named Insured's Rights and Duties Under this Policy

The Named Insured's rights and duties under the Policy may not be transferred without the Insurer's written consent, except in the case of death of an individual Named Insured.

If an individual Named Insured dies, their rights and duties will be transferred to their legal representative but only while acting within the scope of duties as their legal representative. Until such Named Insured's legal representative is appointed, anyone having proper temporary custody of such Named Insured's property will have such Named Insured's rights and duties but only with respect to that property.

14. Short Rate Cancellation Table

Days to Expiry	% of Premium Returned	Days to Expiry	% of Premium Returned	Days to Expiry	% of Premium Returned
365-362	92	245-243	61	126-123	30
361-358	91	242-239	60	122-120	29
357-354	90	238-235	59	119-116	28
353-350	89	234-231	58	115-112	27
349-346	88	230-227	57	111-108	26
345-342	87	226-223	56	107-104	25
341-339	86	222-219	55	103-100	24
338-335	85	218-216	54	99-97	23
334-331	84	215-212	53	96-93	22
330-327	83	211-208	52	92-89	21
326-323	82	207-204	51	88-85	20
322-319	81	203-200	50	84-81	19
318-316	80	199-196	49	80-77	18
315-312	79	195-193	48	76-73	17
311-308	78	192-189	47	72-69	16
307-304	77	188-185	46	68-66	15
303-300	76	184-181	45	65-62	14
299-296	75	180-177	44	61-58	13
295-292	74	176-173	43	57-54	12
291-289	73	172-170	42	53-50	11
288-285	72	169-166	41	49-47	10
284-281	71	165-162	40	46-43	9
280-277	70	161-158	39	42-39	8
276-273	69	157-154	38	38-35	7
272-269	68	153-150	37	34-31	6
268-266	67	149-146	36	30-27	5
265-262	66	145-143	35	26-24	4
261-258	65	142-139	34	23-20	3
257-254	64	138-135	33	19-16	2
253-250	63	134-131	32	15-12	1
249-246	62	130-127	31	11-0	0

Statutory Conditions and General Conditions

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Statutory Conditions and General Conditions

STATUTORY CONDITIONS (Applicable to all jurisdictions except British Columbia, Alberta, Manitoba, and Quebec)

The conditions below apply to all contracts of insurance made or deemed to be made in any jurisdiction, except the provinces of British Columbia, Alberta, Manitoba, and Quebec.

For insurance provided by the Policy against loss of or damage to property arising from the peril of fire, these conditions are Statutory Conditions for the purposes of the applicable *Insurance Act*. For all other insurance provided by the Policy, the conditions below are not Statutory Conditions under the *Insurance Act*, but the conditions apply to all insurance provided by the Policy except as specifically stated otherwise.

If there is a conflict between a Statutory Condition and any other provision in the Policy, then such conflict will be resolved in favour of the Insured.

1. Misrepresentation

If a person applying for insurance falsely describes the property to the prejudice of the Insurer, or misrepresents or fraudulently omits to communicate any circumstance that is material to be made known to the Insurer in order to enable it to judge the risk to be undertaken, the contract is void as to any property in relation to which the misrepresentation or omission is material.

2. Property of Others

Unless otherwise specifically stated in the contract, the Insurer is not liable for loss or damage to property owned by any person other than the Insured, unless the interest of the Insured in such property is stated in the contract.

3. Change of Interest

The Insurer is liable for loss or damage occurring after an authorized assignment under the *Bankruptcy and Insolvency Act* (Canada) or change of title by succession, by operation of law, or by death.

4. Material Change

Any change material to the risk and within the control and knowledge of the Insured voids the contract as to the part affected by the change, unless the change is promptly notified in writing to the Insurer or its local agent. The Insurer, when so notified, may return the unearned portion, if any, of the premium paid and cancel the contract. Alternatively, the Insurer may notify the Insured in writing that, if the Insured desires the contract to continue in force, the Insured must, within fifteen days of the receipt of the notice, pay to the Insurer an additional premium. In default of such payment the contract is no longer in force and the Insurer shall return the unearned portion, if any, of the premium paid.

5. Termination

- (1) This contract may be terminated,
 - (a) by the Insurer giving to the Insured fifteen days' notice of termination by registered mail or five days' written notice of termination personally delivered;
 - (b) by the Insured at any time on request.
- (2) When this contract is terminated by the Insurer,
 - (a) the Insurer shall refund the excess of premium actually paid by the Insured over the pro rata premium for the expired time, but in no event shall the pro rata premium for the expired time be deemed to be less than any minimum retained premium specified in the contract; and
 - (b) the refund shall accompany the notice unless the premium is subject to adjustment or determination as to amount, in which case the refund shall be made as soon as practicable.
- (3) When this contract is terminated by the Insured, the Insurer shall refund as soon as practicable the excess of the premium actually paid by the Insured over the short rate premium for the expired time, but in no event shall the short rate premium for the expired time be deemed to be less than any minimum retained premium specified.
- (4) The refund may be made by money, postal or express company money order, or cheque payable at par.
- (5) The fifteen days mentioned in clause (1) (a) of this condition starts to run on the day following the receipt of the registered letter at the post office to which it is addressed.

6. Requirements After Loss

- (1) Upon the occurrence of any loss of or damage to the insured property, the Insured shall, if the loss or damage is covered by the contract, in addition to observing the requirements of conditions **9**, **10** and **11**,
- (a) immediately give notice of the loss or damage in writing to the Insurer;
 - (b) deliver as soon as practicable to the Insurer a proof of loss verified by a statutory declaration,
 - (i) giving a complete inventory of the lost or damaged property and showing in detail quantities, costs, actual cash value and particulars of amount of loss claimed,
 - (ii) stating when and how the loss occurred, and if caused by fire or explosion due to ignition, how the fire or explosion originated, so far as the Insured knows or believes,
 - (iii) stating that the loss did not occur through any wilful act or neglect or the procurement, means or connivance of the Insured,
 - (iv) showing the amount of other insurances and the names of other insurers,
 - (v) showing the interest of the Insured and of all others in the property with particulars of all mortgages, liens, encumbrances and other charges upon the property,
 - (vi) showing any changes in title, use, occupation, location, possession or exposures of the property since the contract was issued,
 - (vii) showing the place where the insured property was located at the time of loss or damage;
 - (c) If required, give a complete inventory of undamaged property, showing in detail quantities, cost, actual cash value;
 - (d) If required and if practicable, produce books of account, warehouse receipts and stock lists, and provide invoices and other vouchers verified by statutory declaration, and provide a copy of the written portion of any other contract.
- (2) The evidence given, produced or provided under clauses (1) (c) and (d) of this condition shall not be considered proofs of loss within the meaning of conditions **12** and **13**.

7. Fraud

Any fraud or wilfully false statement in a statutory declaration in relation to any of the above particulars, vitiates the claim of the person making the declaration.

8. Who May Give Notice and Proof

In case of absence or inability of the Insured to give notice of loss or make proof of loss, notice of loss may be given and proof of loss may be made by the agent of the Insured. If the Insured fails to give notice immediately, the notice of loss may be given and the proof of loss may be made by a person to whom any part of the insurance money is payable.

9. Salvage

- (1) The Insured, in the event of any loss or damage to any property insured under the contract, shall take all reasonable steps to prevent further damage to such property and to prevent damage to other property insured under the contract, including, if necessary, removing the property to prevent loss or damage or further loss damage to the property.
- (2) The Insurer shall contribute proportionately towards any reasonable and proper expenses in connection with steps taken by the Insured and required under sub-condition (1) of this condition according to the respective interests of the parties.

10. Entry, Control, Abandonment

After loss or damage to insured property, the Insurer has an immediate right of access and entry by accredited agents sufficient to enable them to survey and examine the property, and to make an estimate of the loss or damage. After the Insured has secured the property, the Insurer has a further right of access and entry sufficient to enable its agents to make appraisal or particular estimate of the loss or damage. The Insurer is not entitled to the control or possession of the insured property. There can be no abandonment of insured property to the Insurer without the Insurer's consent.

11. Appraisal

In the event of disagreement as to the value of the insured property, the value of the property saved or the amount of the loss, those questions shall be determined by appraisal as provided under the *Insurance Act** before there can be any recovery under this contract, whether the right to recover on the contract is disputed or not, and independently of all other questions. There is no right to an appraisal until a specific demand for one is made in writing and until after proof of loss has been delivered.

**Insurance Contracts Act* in Newfoundland and *The Saskatchewan Insurance Act* in Saskatchewan.

12. When Loss Payable

The loss is payable within sixty days after completion of the proof of loss, unless the contract provides for a shorter period.

13. Replacement

- (1)** The Insurer, instead of making payment, may repair, rebuild, or replace the property damaged or lost, giving written notice of its intention to do so within thirty days after receipt of the proof of loss.
- (2)** In that event, the Insurer shall commence to repair, rebuild, or replace the property within forty-five days after receipt of the proof of loss, and shall proceed with all due diligence to completion of the work.

14. Action*

Every action or proceeding against the Insurer for the recovery of a claim under or by virtue of this contract is absolutely barred unless commenced within one year next after the loss or damage occurs, unless legislation provides otherwise.

*Condition **14**. Action is only applicable to insurance against loss of or damage to property arising from the peril of fire, except as stated otherwise in applicable legislation. Condition **14**. Action is not a Statutory Condition in Saskatchewan.

15. Notice

Any written notice to the Insurer may be delivered at, or sent by registered mail to, the chief agency or any office of the Insurer in Canada. Written notice may be given to the Insured named in the contract by letter personally delivered to the Insured or by registered mail addressed to the Insured at the Insured's latest post office address as notified to the Insurer.

In this condition, the expression "registered" means registered in or outside Canada.

STATUTORY CONDITIONS (Only applicable to British Columbia, Alberta, and Manitoba)

The conditions below apply to all contracts of insurance made or deemed to be made in the provinces of British Columbia, Alberta and Manitoba.

For insurance provided by the Policy against loss of or damage to property arising from the peril of fire, conditions 1 and 6-13 inclusive apply as Statutory Conditions for the purposes of the applicable *Insurance Act*. For all other insurance provided by the Policy, the conditions below are not Statutory Conditions under the *Insurance Act*, but the conditions apply to all insurance provided by the Policy except as specifically stated otherwise.

If there is a conflict between a Statutory Condition and any other provision in the Policy, then such conflict will be resolved in favour of the Insured.

1. Misrepresentation

If a person applying for insurance falsely describes the property to the prejudice of the Insurer, or misrepresents or fraudulently omits to communicate any circumstance that is material to be made known to the Insurer in order to enable it to judge the risk to be undertaken, the contract is void as to any property in relation to which the misrepresentation or omission is material.

2. Property of Others

The Insurer is not liable for loss or damage to property owned by a person other than the Insured unless:

- (1) otherwise specifically stated in the contract, or
- (2) the interest of the Insured in that property is stated in the contract.

3. Change of Interest

The Insurer is liable for loss or damage occurring after an authorized assignment under the *Bankruptcy and Insolvency Act* (Canada) or a change of title by succession, by operation of law, or by death.

4. Material Change in Risk

- (1) The Insured must promptly give notice in writing to the Insurer or its agent of a change that is:
 - (a) material to the risk, and
 - (b) within the control and knowledge of the Insured.
- (2) If an Insurer or its agent is not promptly notified of a change under subparagraph (1) of this condition, the contract is void as to the part affected by the change.
- (3) If an Insurer or its agent is notified of a change under subparagraph (1) of this condition, the Insurer may:
 - (a) terminate the contract in accordance with Statutory Condition 5, or
 - (b) notify the Insured in writing that, if the Insured desires the contract to continue in force, the Insured must, within 15 days after receipt of the notice, pay to the Insurer an additional premium specified in the notice.
- (4) If the Insured fails to pay an additional premium when required to do so under subparagraph (3) (b) of this condition, the contract is terminated at that time and Statutory Condition 5 (2) (a) applies in respect of the unearned portion of the premium.

5. Termination of Insurance

- (1) The contract may be terminated
 - (a) by the Insurer giving to the Insured 15 days' notice of termination by registered mail or 5 days' written notice of termination personally delivered, or
 - (b) by the Insured at any time on request.
- (2) If the contract is terminated by the Insurer,
 - (a) the Insurer must refund the excess of premium actually paid by the Insured over the prorated premium for the expired time, but in no event may the prorated premium for the expired time be less than any minimum retained premium specified in the contract, and
 - (b) the refund must accompany the notice unless the premium is subject to adjustment or determination as to amount, in which case the refund must be made as soon as practicable.
- (3) If the contract is terminated by the Insured, the Insurer must refund as soon as practicable the excess of premium actually paid by the Insured over the short rate premium for the expired time specified in the contract, but in no event may the short rate premium for the expired time be less than any minimum retained premium specified in the contract.
- (4) The 15 day period referred to in subparagraph (1) (a) of this condition starts to run on the day the registered letter or notification of it is delivered to the Insured's postal address.

6. Requirements After Loss

- (1)** On the happening of any loss of or damage to insured property, the Insured must, if the loss or damage is covered by the contract, in addition to observing the requirements of Statutory Conditions **9**,
- (a)** immediately give notice in writing to the Insurer,
 - (b)** deliver as soon as practicable to the Insurer a proof of loss in respect of the loss or damage to the insured property verified by statutory declaration,
 - (i)** giving a complete inventory of that property and showing in detail quantities and costs of that property and particulars of the amount of loss claimed,
 - (ii)** stating when and how the loss occurred, and if caused by fire or explosion due to ignition, how the fire or explosion originated, so far as the Insured knows or believes,
 - (iii)** stating that the loss did not occur through any wilful act or neglect or the procurement, means or connivance of the Insured,
 - (iv)** stating the amount of other insurances and the names of other Insurers,
 - (v)** stating the interest of the Insured and of all others in that property with particulars of all liens, encumbrances and other charges on that property,
 - (vi)** stating any changes in title, use, occupation, location, possession or exposures of the property since the contract was issued, and
 - (vii)** stating the place where the insured property was at the time of loss,
 - (c)** if required by the Insurer, give a complete inventory of undamaged property, showing in detail quantities and cost of that property, and
 - (d)** if required by the Insurer and if practicable,
 - (i)** produce books of account and inventory lists,
 - (ii)** furnish invoices and other vouchers verified by statutory declaration, and
 - (iii)** furnish a copy of the written portion of any other relevant contract.
- (2)** The evidence given, produced or furnished under subparagraphs **(1) (c)** and **(d)** of this condition must not be considered proofs of loss within the meaning of Statutory Conditions **12** and **13**.

7. Fraud

Any fraud or wilfully false statement in a statutory declaration in relation to the particulars required under Statutory Condition **6** invalidates the claim of the person who made the declaration.

8. Who May Give Notice and Proof

Notice of loss under Statutory Condition **6 (1) (a)** may be given and the proof of loss under Statutory Condition **6 (1) (b)** may be made

- (1)** by the agent of the Insured, if
- (a)** the Insured is absent or unable to give the notice or make the proof, and
 - (b)** the absence or inability is satisfactorily accounted for, or
- (2)** by a person to whom any part of the insurance money is payable, if the Insured refuses to do so, or in the circumstances described in clause **(1)** of this condition.

9. Salvage

- (1)** In the event of loss or damage to insured property, the Insured must take all reasonable steps to prevent further loss or damage to that property and to prevent loss or damage to other property insured under the contract, including, if necessary, removing the property to prevent loss or damage or further loss or damage to the property.
- (2)** The Insurer must contribute on a prorated basis towards any reasonable and proper expenses in connection with steps taken by the Insured under subparagraph **(1)** of this condition.

10. Entry, Control, Abandonment

After loss or damage to insured property, the Insurer has

- (1) an immediate right of access and entry by accredited representatives sufficient to enable them to survey and examine the property, and to make an estimate of the loss or damage, and
- (2) after the Insured has secured the property, a further right of access and entry by accredited representatives sufficient to enable them to appraise or estimate the loss or damage, but
 - (a) without the Insured's consent, the Insurer is not entitled to the control or possession of the insured property, and
 - (b) without the Insurer's consent, there can be no abandonment to the Insurer of the insured property.

11. In Case of Disagreement

- (1) In the event of disagreement as to the value of the insured property, the value of the property saved, the nature and extent of the repairs or replacements required or, if made, their adequacy, or the amount of the loss or damage, those questions must be determined using the applicable dispute resolution process set out in the *Insurance Act*, whether or not the Insured's right to recover under the contract is disputed, and independently of all other questions.
- (2) There is no right to a dispute resolution process under this condition until
 - (a) a specific demand is made for it in writing, and
 - (b) the proof of loss has been delivered to the Insurer.

12. When Loss Payable

Unless the contract provides for a shorter period, the loss is payable within 60 days after the proof of loss is completed in accordance with Statutory Condition 6 and delivered to the Insurer.

13. Repair or Replacement

- (1) Unless a dispute resolution process has been initiated, the Insurer, instead of making payment, may repair, rebuild, or replace the insured property lost or damaged, on giving written notice of its intention to do so within 30 days after receiving the proof of loss.
- (2) If the Insurer gives notice under subparagraph (1) of this condition, the Insurer must begin to repair, rebuild, or replace the property within 45 days after receiving the proof of loss, and must proceed with all due diligence to complete the work within a reasonable time.

14. Notice

- (1) Written notice to the Insurer may be delivered at, or sent by registered mail to, the chief agency or any office of the Insurer in Canada.
- (2) Written notice to the Insured may be personally delivered at, or sent by registered mail addressed to, the Insured's last known address as provided to the Insurer by the Insured.

Limitation of Action

Every action or proceeding against an insurer for the recovery of insurance money payable under the contract is absolutely barred unless commenced within the time set out in the *Insurance Act*.

GENERAL CONDITIONS (Only applicable to Quebec)

To the extent that the *Civil Code of Québec* is applicable to this contract of insurance, the Policy is subject to these General Conditions but only to the extent required to comply with the Civil Code. Reference to Civil Code articles in some instances is for easier reading only and should not be construed as exact quotations of the wording of such articles.

The General Conditions apply to all insurance provided by the Policy, except where noted as inapplicable.

If there is a conflict between these General Conditions, the *Civil Code of Québec*, and any other provision in the Policy, then such conflict will be resolved in favour of the Insured.

1. Statements

1.1 **Representation of risk (Article 2408)**

The client, and the Insured if the Insurer requires it, is bound to represent all the facts known to him which are likely to materially influence an Insurer in the setting of the premium, the appraisal of the risk or the decision to cover it, but he is not bound to represent facts known to the Insurer or which from their notoriety he is presumed to know, except in answer to inquiries.

The client means the person submitting an insurance application.

1.2 **Material change in risk (Articles 2466 and 2467)**

The Insured shall promptly notify the Insurer of any change that increases the risks stipulated in the policy and that results from events within his control if it is likely to materially influence an Insurer in setting the rate of the premium, appraising the risk or deciding to continue to insure it.

On being notified of any material change in the risk, the Insurer may cancel the contract or propose, in writing, a new rate of premium. Unless the new premium is accepted and paid by the Insured within 30 days of the proposal, the policy ceases to be in force.

1.3 **Misrepresentations or concealment (Articles 2410, 2411 and 2466)**

Any misrepresentation or concealment of relevant facts mentioned in section 1.1 and in the first paragraph of section 1.2 by the client or the Insured nullifies the contract at the instance of the Insurer, even in respect of losses not connected with the risk so misrepresented or concealed.

Unless the bad faith of the client or of the Insured is established or unless it is established that the Insurer would not have covered the risk if he had known the true facts, the Insurer remains liable towards the Insured for such proportion of the indemnity as the premium he collected bears to the premium he should have collected.

1.4 **Warranties (Article 2412)**

Any increase in risk resulting from a breach of warranty suspends the coverage until accepted by the Insurer or until such breach has been remedied by the Insured.

2. General Provisions

2.1 **Insurable interest (Articles 2481 and 2484)**

(Applicable to property insurance only)

A person has an insurable interest in a property where the loss or deterioration of the property may cause him direct and immediate damage. It is necessary that the insurable interest exist at the time of the loss but not necessary that the same interest have existed throughout the duration of the contract. The insurance of a property in which the Insured has no insurable interest is null.

2.2 **Changes (Article 2405)**

The terms of this policy shall not be waived or changed except by endorsement.

2.3 **Assignment (Articles 2475 and 2476)**

This policy may be assigned only with the consent of the Insurer and in favour of a person who has an insurable interest in the insured property.

Upon the death or bankruptcy of the Insured or the assignment of his interest in the insurance to a co-Insured, the insurance continues in favour of the heir, trustee in bankruptcy or remaining Insured, subject to his performing the obligations that were incumbent upon the Insured.

2.4 Books and records

The Insurer and its authorized representatives shall have the right to examine the Insured's books and records related to the subject matter of this insurance at any time during the period of this policy and the three subsequent years.

2.5 Inspection

The Insurer and its authorized representatives shall have the right but are not obligated to make inspections of the risk, inform the Insured of the conditions found and recommend changes. Any inspections, surveys, findings or recommendations relate only to insurability and the premiums to be charged. They shall not constitute a warranty that the premises, property or operations are safe or healthful or comply with laws, codes or standards.

2.6 Currency

All limits of insurance, premiums and other amounts in this policy are in Canadian currency.

3. Losses**3.1 Notice of Loss (Article 2470)**

The Insured shall notify the Insurer of any loss which may give rise to an indemnity as soon as he becomes aware of it. Any interested person may give such notice.

In the event that the requirement set out in the preceding paragraph is not fully complied with, all rights to compensation shall be forfeited by the Insured where such non-compliance has caused prejudice to the Insurer.

3.2 Information to be provided (Article 2471)

The Insured shall inform the Insurer as soon as possible of all the circumstances surrounding the loss, including its probable cause, the nature and extent of the damage, the location of the insured property, the rights of third parties, and any concurrent insurance; he shall also furnish him with vouchers and swear or warrant to the truth of the information.

Where, for a serious reason, the Insured is unable to fulfil such obligation, he is entitled to a reasonable time in which to do so. If the Insured fails to fulfil his obligation, any interested person may do so on his behalf.

In addition, the Insured shall forthwith send to the Insurer a copy of any notice, letter, subpoena or writ or document received in connection with a claim.

3.3 False representation (Article 2472)

Any deceitful representation entails the loss of the right of the person making it to any indemnity in respect of the risk to which the representation relates.

However, if the occurrence of the event insured against entails the loss of both movable and immovable property or of both property for occupational use and personal property, forfeiture is incurred only with respect to the class of property to which the representation relates.

3.4 Intentional Fault (Article 2464)

The Insurer is never liable to compensate for injury resulting from the Insured's intentional fault.

Where there is more than one Insured, the obligation of coverage remains in respect of those Insureds who have not committed an intentional fault.

Where the Insurer is liable for injury caused by a person for whose acts the Insured is liable, the obligation of coverage subsists regardless of the nature or gravity of that person's fault.

3.5 Notice to Police

(Applicable to property insurance only)

The Insured must promptly give notice to the police of any loss caused by vandalism, theft or attempted theft or other criminal act.

3.6 Safeguarding and examination of property (Article 2495)

(Applicable to property insurance only)

At the expense of the Insurer, the Insured must take all reasonable steps to prevent further loss or damage to the insured property and any further loss or damage resulting directly or indirectly from the Insured's failure to take such action shall not be recoverable.

The Insured may not abandon the damaged property if there is no agreement to that effect. The Insured shall facilitate the salvage and inspection of the insured property by the Insurer.

He shall, in particular, permit the Insurer and his representatives to visit the premises and examine the insured property before repairing, removing or modifying the damaged property, unless so required to safeguard the property.

3.7 Admission of liability and cooperation (Article 2504)

The Insured shall cooperate with the Insurer in the processing of all claims.

(The following two paragraphs are applicable to liability insurance only: article 2504)

No transaction made without the consent of the Insurer may be set up against him.

The Insured shall not admit any liability nor settle or attempt to settle any claim, except at his own risk.

3.8 Right of action (Article 2502)

(Applicable to liability insurance only)

The Insurer may set up against the injured third person any grounds he could have invoked against the Insured at the time of the loss, but not grounds pertaining to facts that occurred after the loss; the Insurer has a right of action against the Insured in respect of facts that occurred after the loss.

4. Compensation and Settlement**4.1 Basis of settlement (Articles 2490, 2491, 2493)**

(Applicable to property insurance only)

Unless otherwise provided, the Insurer shall not be liable for more than the actual cash value of the property at the time of loss as normally determined.

In unvalued policies, the amount of insurance does not make proof of the value of the insured property. In valued policies, the agreed value makes complete proof, between the Insurer and the Insured, of the value of the insured property.

If the amount of insurance is less than the value of the property, the Insurer is released by paying the amount of the insurance in the event of total loss or a proportional indemnity in the event of partial loss.

4.2 Pair and set

(Applicable to property insurance only)

In the case of loss of or damage to any article or articles, whether scheduled or unscheduled, which are part of a set, the measure of loss of or damage to such article or articles shall be a reasonable and fair proportion of the total value of the set, but in no event shall such loss or damage be construed to mean total loss of set.

4.3 Parts

(Applicable to property insurance only)

In the case of loss of or damage to any part of the insured property, whether scheduled or unscheduled, consisting, when complete for use, of several parts, the Insurer is not liable for more than the insured value of the part lost or damaged, including the cost of installation.

4.4 Replacement (Article 2494)

(Applicable to property insurance only)

Subject to the rights of preferred and hypothecary creditors, the Insurer reserves the right to repair, rebuild or replace the insured property. He is then entitled to salvage and may take over the property.

4.5 Time of payment (Articles 1591, 2469 and 2473)

The Insurer shall pay the indemnity within 60 days after receiving the notice of loss or, at his request, all relevant information and vouchers, provided the Insured shall have complied with all the terms of the contract.

Any outstanding premium may be deducted from the indemnity payable.

4.6 Property of others

(Applicable to property insurance only)

Where a claim is made as a result of loss of or damage to property not owned by the Insured, the Insurer reserves the right to pay the indemnity to the Insured or to the owner of the property and to deal directly with such owner.

4.7 Waiver

Neither the Insurer nor the Insured shall be deemed to have waived any term or condition of the policy by any act relating to arbitration or to the completion or delivery of proof of loss, or to the investigation or adjustment of the claim.

4.8 Limitation of actions (Article 2925)

Every action or proceeding against the Insurer under this policy shall be commenced within three years from the date the right of action has arisen.

4.9 Subrogation (Article 2474)

Unless otherwise provided, the Insurer shall be subrogated to the extent of the amount paid or the liability assumed therefor under this policy to the rights of the Insured against persons responsible for the loss except when they are members of the Insured's household. The Insurer may be fully or partly released from his obligation towards the Insured where, owing to any act of the Insured, he cannot be so subrogated.

5. Other Insurance**5.1 Property insurance (Article 2496)**

The Insured who, without fraud, is insured by several Insurers, under several policies, for the same interest and against the same risk so that the total amount of indemnity that would result from the separate performance of such policies would exceed the loss incurred may be indemnified by the Insurer or Insurers of his choice, each being liable only for the amount he has contracted for.

No clause suspending all or part of the performance of the contract by reason of other insurance may be used against the Insured.

Unless otherwise agreed, the indemnity is apportioned among the Insurers in proportion to the share of each in the total coverage, except in respect of specific insurance, which constitutes primary insurance.

5.2 Liability insurance

The liability insurance provided under this policy is primary insurance except when stated to apply in excess of, or contingent upon the absence of, other insurance. When this insurance is primary and the Insured has other insurance which is stated to be applicable to the loss on an excess or contingent basis, the amount of the Insurer's liability under this policy shall not be reduced by the existence of such other insurance. When both this insurance and other insurance apply to the loss on the same basis whether primary, excess or contingent, the Insurer shall not be liable under this policy for a greater proportion of the loss than that stated in the applicable contribution provision below:

(a) Contribution by equal share:

If all of such other collectible insurance provides for contribution by equal shares, this Insurer shall not be liable for a greater proportion of such loss than would be payable if each Insurer contributed an equal share until the share of each Insurer equals the lowest applicable limit of liability under any one policy or the full amount of the loss is paid, and with respect to any amount of loss not so paid the remaining Insurers then continue to contribute equal shares of the remaining amount of the loss until each such insurer has paid its limit in full or the full amount of the loss is paid.

(b) Contribution by limits:

If any such other insurance does not provide for contribution by equal shares, this Insurer shall not be liable for a greater proportion of such loss than the applicable limit of liability under this policy for such loss bears to the total applicable limit of liability of all valid and collectible insurance against such loss.

6. Cancellation (Articles 2477 and 2479)

This policy may be cancelled at any time:

- (a)** By mere written notice from each of the Named Insureds. Termination takes effect upon receipt of the notice and the Insured shall therefore be entitled to a refund of the excess of the premium actually paid over the short-term rate for the expired time.
- (b)** By the Insurer giving written notice to each Named Insured. Termination takes effect 15 days following receipt of such notice by the Insured at his last known address and the Insurer shall refund the excess of premium actually paid over the pro rata premium for the expired time. If the premium is subject to adjustment or determination as to amount, the refund shall be made as soon as practicable.

Where one or more of the Named Insureds have been mandated to receive or send the notices provided for under paragraph **(a)** or **(b)** above, notices sent or received by them shall be deemed to have been sent or received by all Named Insureds.

In this Condition, the words "premium actually paid" mean the premium actually paid by the Insured to the Insurer or its representative, but do not include any premium or part thereof paid to the Insurer by a representative unless actually paid to the representative by the Insured.

7. Notice

Any notice to the Insurer may be sent by any recognized means of communication to the Insurer or its authorized representative. Notice may be given to the named Insured by letter personally delivered to him or by mail addressed to him at his last known address.

It is incumbent upon the sender to prove that such notice was received.

Equipment Breakdown Coverage Form

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Equipment Breakdown Coverage Form

This Equipment Breakdown Coverage Form is part of the Policy. Various provisions in this Coverage Form and the Policy restrict insurance. Read the entire Policy carefully to determine rights, duties and what is and is not insured.

Throughout this Coverage Form, the word Insured refers to the person or organization shown as the Named Insured in the Policy Level Declarations. The word Insurer refers to the company(ies) providing this insurance.

Words and phrases that appear in **bold** font have special meaning. Refer to Section **VII**. Definitions.

The titles of the various sections, paragraphs, and clauses of this Coverage Form and any endorsements attached to this Coverage Form are inserted solely for convenience or reference and are not to be deemed in any way to limit or affect the provisions to which they relate.

SECTION I. PROPERTY DAMAGE COVERAGE

A. Indemnity Agreement

The Insurer will indemnify the Insured for direct physical loss of, or direct physical damage to, **insured property** caused by or resulting from a **breakdown**, subject to the terms, conditions, and exclusions of this Coverage Form.

Such loss or damage must occur:

1. During the policy period shown in the Policy Level Declarations, and
2. While the **insured equipment** is in use, or connected and ready for use at the **premises**, except as otherwise specifically provided in this Coverage Form.

B. Extensions of Coverage

The insurance provided by the Indemnity Agreement of this Coverage Form, and where applicable, the Equipment Breakdown Business Income Coverage Form, is extended to include the following Extensions of Coverage, subject to all other terms, conditions, limitations, and exclusions of this Coverage Form, and where applicable, the Equipment Breakdown Business Income Coverage Form.

Unless otherwise specified, the Limit of Insurance shown in the Equipment Breakdown Declarations for each Extension of Coverage is the most the Insurer will pay for all loss or damage insured by such Extension of Coverage per any **one breakdown**, regardless of the number of **premises** or locations involved in the **one breakdown** and such limit is included in, and does not increase, the applicable Property Damage Limit of Insurance for this Coverage Form.

If Not Insured is shown in the Equipment Breakdown Declarations for any Extension of Coverage, then any insurance for loss or damage that would otherwise be provided by such Extension of Coverage is not insured by this Coverage Form, or where applicable, the Equipment Breakdown Business Income Form.

Each of the following Extensions of Coverage does not apply if the loss or damage is more specifically insured elsewhere in this Coverage Form or the Equipment Breakdown Business Income Form.

If a deductible is shown for any Extension of Coverage in the Equipment Breakdown Declarations, this deductible will apply separately and in addition to any other deductible applicable to this Coverage Form.

(a) Ammonia Contamination

This Coverage Form is extended to insure direct physical loss of, or direct physical damage to, **insured property**, including salvage expenses, caused by or resulting from contamination by ammonia used as a refrigerant. The contamination must be directly caused by or directly result from a **breakdown**.

(b) Brands and Labels

If a **breakdown** causes or results in direct physical loss of, or direct physical damage to, **insured property** bearing a brand or label, the sale of which by the Insured would negatively impact the reputation of the Insured, or the reputation of the manufacturer, in the market, the Insurer will pay the cost of removing or re-identifying the brand or label from such damaged **insured property**.

Any salvage of such damaged **insured property** will not be disposed of by sale without the Insured's consent. If removing or re-identifying of the brand or label is not possible or is impractical, the Insurer will pay the cost to dispose of the damaged **insured property**. The Insured will have the right to dispose of the salvage in the manner they consider appropriate.

If the salvage of the damaged **insured property** is not disposed of by sale by the Insurer, the Insured will allow the Insurer to deduct the salvage value from the amount payable to the Insured. Salvage value will be determined as the value that could have been realized after removal or re-identifying of the brand or label.

(c) By-Laws

If direct physical loss of, or direct physical damage to, **insured property** caused by or resulting from a **breakdown** results in the enforcement of any by-law, regulation, ordinance, or law that is in force at the time of such loss or damage and that regulates the demolition, repair or reconstruction of damaged **insured property**, or establishes zoning or land use at the **premises**, then this Coverage Form is extended to insure the following reasonable costs necessary to comply with the minimum requirements of such by-law, regulation, ordinance or law:

- (i) Costs to replace the undamaged portion of such damaged **insured property** that requires demolition of the undamaged portion of the same **insured property**;
- (ii) Costs to demolish and clear the site of any undamaged portion of the damaged **insured property**; and
- (iii) The increase in the cost, if any, to repair, replace, construct or reconstruct the damaged **insured property** at the same site or on an adjacent site, of like kind, capacity, size, height, floor area, quality, style and function for like occupancy; however, insurance provided by this Paragraph **(c) (iii)** does not apply if the damaged **insured property** is not repaired, replaced, constructed or reconstructed.

This Extension of Coverage does not insure against the enforcement of any by-law, regulation, ordinance, or law:

- (1)** Which prohibits the Insured from rebuilding or repairing on the same site or adjacent site or prohibits continuance of like occupancy;
- (2)** With which the Insured was legally required to comply prior to the time of the loss or damage but failed to do so;
- (3)** Arising out of any increase in loss or damage, or additional expense, excluded by **2. (b) Hazardous Substances** under **B. Excluded Perils of Section II. Exclusions**; or
- (4)** Which would apply in the absence of a loss or damage.

This Extension of Coverage does not apply to any property insured by this Coverage Form on an **actual cash value** basis of valuation.

This Extension of Coverage may also be applied to any insurance provided by the Equipment Breakdown Business Income Coverage Form attached to the Policy for **business income loss**; however, the maximum Limit of Insurance per any **one breakdown** for this Extension of Coverage will be the Limit of Insurance shown in the Equipment Breakdown Declarations for this Extension of Coverage.

(d) Claims Preparation Costs and Professional Fees

This Coverage Form is extended to insure the:

- (i) Reasonable costs and services incurred in the preparation of claims **data**, including, but not limited to, taking inventories, making appraisals, and preparing other documentation to establish a proof of loss; and
- (ii) Reasonable fees and services payable to external auditors, accountants, architects, engineers, or other professionals for producing and certifying particulars or details of the Insured's business in order to establish the quantum of a claim.

All such costs, services and fees must be incurred by the Insured at the request, and with the prior written approval, of the Insurer.

This Extension of Coverage may also be applied to any insurance provided by the Equipment Breakdown Business Income Coverage Form attached to the Policy for **business income loss**; however, the maximum Limit of Insurance per any **one breakdown** for this Extension of Coverage will be the Limit of Insurance shown in the Equipment Breakdown Declarations for this Extension of Coverage.

(e) Debris Removal

This Coverage Form is extended to indemnify the Insured for the reasonable and necessary expenses incurred in the removal of debris from the **premises**, if such debris is the result of direct physical loss of, or direct physical damage to, **insured property** cause by or resulting from a **breakdown**.

This Extension of Coverage does not apply to any increase in loss or damage, or additional expense, excluded by **2. (b) Hazardous Substances** under **B. Excluded Perils** of Section **II. Exclusions**.

(f) Electronic Data Restoration Costs

If **data processing media** that is **insured property** sustains direct physical loss or direct physical damage caused by or resulting from a **breakdown**, then this Coverage Form is extended to insure the actual costs of labour to transcribe or copy the **electronic data** from duplicates, from back-ups or from originals of a previous generation of the **electronic data**. These costs will not include research and engineering nor any costs of recreating, gathering, or assembling any **data**. If such **electronic data** is not actually transcribed or copied, the Insurer will only pay for the cost of blank **data processing media** of like kind, capacity, size, quality, and function.

However, in no event will the Insurer pay for any amount pertaining to the value of any **data**.

This Extension of Coverage does not insure loss or damaged caused by or resulting from any errors or omissions in processing, copying, programming, or machine instructions.

(g) Environmental, Safety and Efficiency Improvements

If **insured equipment** requires replacement due to a **breakdown**, this Coverage Form is extended to insure the reasonable and necessary additional costs incurred by the Insured to replace with equipment that the Insurer agrees is better for the environment, safer for people or more energy efficient than the **insured equipment** being replaced.

This Extension of Coverage is subject to the following conditions:

- (i)** This Extension of Coverage is limited to 150% of what the cost would have been to replace **insured equipment** with like kind and quality;
- (ii)** The Insurer will not pay to increase the size or capacity of the **insured equipment**;
- (iii)** This Extension of Coverage does not apply to the replacement of component parts;
- (iv)** This Extension of Coverage does not apply to property insured by this Coverage Form on an **actual cash value** basis of valuation; and
- (v)** Any insurance provided by this Extension of Coverage will not be considered direct physical loss of, or direct physical damage to, **insured property** caused by or resulting from a **breakdown** for the purposes of any insurance provided by the Policy for **business income loss**.

(h) Expediting Expenses

This Coverage Form is extended to insure the reasonable and necessary extra costs (including overtime and the extra cost of express or other rapid means of transportation) incurred by the Insured to make temporary repairs and to expedite the permanent repair or replacement of **insured property** that sustained direct physical loss, or direct physical damage, caused by or resulting from a **breakdown**.

(i) Extra Expense

This Coverage Form is extended to insure the reasonable and necessary **extra expense** incurred by the Insured during the **period of restoration** in order to resume, as nearly as practicable, their **normal operations** that has been interrupted as a result of direct physical loss of, or direct physical damage to, **insured property** caused by or resulting from a **breakdown**. The Insured must exercise due diligence and dispatch to rebuild, repair or replace the lost or damaged property.

This Extension of Coverage does not insure:

- (i) Business income loss;**
- (ii)** Loss due to fines or damages for breach of contract, for late or non-completion of orders or for any penalties of whatever nature;
- (iii)** Loss due to the suspension, lapse or cancellation of any lease or license, contract, or order, which may affect the Insured's earnings after the period following any loss during which indemnity is payable; or
- (iv)** Any increase in loss that results because strikers or other persons have interfered with the repairs to damaged property or with any resumption of operations.

The following additional provisions apply to this Extension of Coverage:

- (1)** This Extension of Coverage also insures the **extra expense** sustained by the Insured during the period of time, not exceeding 30 consecutive days, while access to the **premises** is prohibited by order of civil authority, but only when such order is given as a result of direct physical loss of, or direct physical damage to, neighboring property caused by or resulting from a **breakdown**.

For the purposes of insurance provided by this Paragraph **(1)**, any reference to **insured equipment** in the definition of **breakdown** is amended to equipment of a type described in the definition of **insured equipment** that is not owned, operated, or controlled by the Insured.

- (2)** If a Waiting Period is shown as the deductible for this Extension of Coverage in the Equipment Breakdown Declarations, the Insurer will not pay for any **extra expense** loss that is incurred per any **one breakdown** during the period of time that:
- a.** Begins at the time of the **breakdown** that triggers the loss or expense; and
 - b.** Continues for the consecutive number of hours or days shown in the Equipment Breakdown Declarations as the applicable Waiting Period.
- (3)** The Limit of Insurance shown in the Equipment Breakdown Declarations for this Extension of Coverage applies in addition to the Property Damage Limit of Insurance shown for this Coverage Form.

(j) Green Coverage and Environmental Upgrade

This Coverage Form is extended to insure the reasonable and necessary additional costs incurred by the Insured, as a result of direct physical loss of, or direct physical to, **insured property** caused by or resulting from a **breakdown**:

- (i)** To repair or replace physically damaged **insured property** with material of like kind, capacity, size, quality and function which qualifies as **green**;
- (ii)** For an accredited professional certified by a **green authority** to participate in the design and construction for repairing or rebuilding the physically damaged **insured property** as **green**;
- (iii)** For the process of certification or recertification of the repaired or replaced **insured property** as **green**;
- (iv)** For **green** removal, disposal, or recycling of the damaged **insured property**; and
- (v)** To flush out reconstructed space where such damaged **insured property** is normally located with up to 100% outside air using new filtration media.

This Extension of Coverage does not apply;

- (1)** If the lost or damaged **insured property** is not repaired, replaced or reconstructed, or
- (2)** To property insured by this Coverage Form on an **actual cash value** basis of valuation.

This Extension of Coverage does not insure any cost incurred for any **green** upgrades or improvements required under any existing by-law, regulation, ordinance or law with which the Insured was legally required to comply prior to the time of the loss or damage but failed to do so.

(k) Hazardous Substances

This Coverage Form is extended to insure the increase in cost or in loss, to repair, replace, **clean up**, or dispose of, affected **insured property** which is directly caused by or directly results from a **hazardous substance** being released by a **breakdown**.

This Extension of Coverage does not apply to loss or damage insured by Extension of Coverage **(a)** Ammonia Contamination under **B. Extensions of Coverage of Section I. Property Damage Coverage**.

As used in this Extension of Coverage, increase in cost, or in loss, is that cost or loss beyond that for which the Insurer would have been liable had no **hazardous substance** been present.

This Extension of Coverage may also be applied to any insurance provided by the Equipment Breakdown Business Income Coverage Form attached to the Policy for **business income loss**; however, the maximum Limit of Insurance per any **one breakdown** for this Extension of Coverage will be the Limit of Insurance shown in the Equipment Breakdown Declarations for this Extension of Coverage.

(l) Newly Acquired Locations

This Coverage Form is extended to insure direct physical loss of, or direct physical damage to, **insured property** at a newly acquired location(s) owned, leased or occupied by the Insured caused by or resulting from a **breakdown**.

This Extension of Coverage commences from the time of the acquisition and ceases when any of the following first occurs:

- (i)** The number of consecutive days shown in the Equipment Breakdown Declarations applying to this Extension of Coverage;
- (ii)** This Coverage Form is endorsed to insure the location more specifically; or
- (iii)** The Policy expires.

This Extension of Coverage is subject to the following conditions:

- (1)** An additional premium is applicable to the location insured by this Extension of Coverage and will be payable from the date of acquisition of such location.
- (2)** The location is within Canada or any other country in which a **premises** is located.
- (3)** The largest single deductible specified in the Equipment Breakdown Declarations will apply to this Extension of Coverage.

This Extension of Coverage does not apply to property insured by Extension of Coverage **(o)** Unintentional Errors and Omissions under **B. Extensions of Coverage of Section I. Property Damage Coverage**.

This Extension of Coverage may also be applied to any insurance provided by the Equipment Breakdown Business Income Coverage Form attached to the Policy for **business income loss**; however, the maximum Limit of Insurance per any **one breakdown** for this Extension of Coverage will be the Limit of Insurance shown in the Equipment Breakdown Declarations for this Extension of Coverage.

(m) Off Premises Transportable Insured Equipment

This Coverage Form is extended to insure direct physical loss of, or direct physical damage to, transportable **insured equipment**, caused by or resulting from a **breakdown**, provided that:

- (i)** At the time of the breakdown, the transportable **insured equipment** is not located at the **premises**, and
- (ii)** The transportable insured equipment is within Canada or any other country in which a **premises** is located.

(n) Spoilage

This Coverage Form is extended to insure direct physical loss of, or direct physical damage to, **specified property** which is **insured property** due to spoilage caused by or resulting from:

- (i)** A **breakdown**; or
- (ii)** Direct physical loss of, or direct physical damage to, equipment caused by or resulting from a **breakdown**, provided the equipment is:
 - (1)** Located on or within 1,000 metres of the **premises**;
 - (2)** Owned by the building owner at the **premises** or by a public or private utility company; and
 - (3)** Used to supply steam, gas, air, water, refrigeration, electricity, air conditioning, heating, or communication services to the **premises**.

For the purpose of the insurance provided by this Paragraph **(ii)**, this Extension of Coverage does not apply to loss or damage arising from:

- a.** A sudden and accidental failure of **electronic circuitry**.
 - b.** An interruption of services that does not exceed 24 consecutive hours,
- and any reference to **insured equipment** in the definition of **breakdown** is amended to equipment of a type described in the definition of **insured equipment** that is not owned, operated, or controlled by the Insured.

If the **specified property** is not replaced, the Insurer will pay for its **actual cash value**.

(o) Unintentional Errors and Omissions

This Coverage Form is extended to insure direct physical loss of, or direct physical damage to, **insured property** caused by or resulting from a **breakdown** that would not be insured by this Coverage Form solely due to the Insured's unintentional error or omission:

- (i) In the description or address of the **premises**;
- (ii) That fails to include any location owned, leased or occupied by the Insured; or
- (iii) In the deletion of any interest or of the **premises**.

This Extension of Coverage is subject to the following conditions:

- (1) The Insured will notify the Insurer of the error or omission as soon as practicable upon its discovery.
- (2) An additional premium will be paid by the Insured if required by the Insurer.
- (3) The location is within Canada or any other country in which a **premises** is located.
- (4) The largest single deductible specified in the Equipment Breakdown Declarations will apply to this Extension of Coverage.
- (5) This Extension of Coverage will only apply to the extent that this Coverage Form would have provided insurance had the unintentional error or omission not been made.
- (6) This Extension of Coverage does not apply if insurance is also available under any other Extension of Coverage applicable to this Coverage Form.

This Extension of Coverage may also be applied to any insurance provided by the Equipment Breakdown Business Income Coverage Form attached to the Policy for **business income loss**; however, the maximum Limit of Insurance per any **one breakdown** for this Extension of Coverage will be the Limit of Insurance shown in the Equipment Breakdown Declarations for this Extension of Coverage.

(p) Water Damage

This Coverage Form is extended to insure direct physical loss of, or direct physical damage to, **insured property**, including salvage expenses, caused by or resulting from water. The water damage must be directly caused by or directly result from a **breakdown**.

Any insurance provided by this Extension of Coverage will not be considered direct physical loss of, or direct physical damage to, **insured property** caused by or resulting from a **breakdown** for the purposes of any insurance provided by the Policy for **business income loss**.

SECTION II. EXCLUSIONS**A. Excluded Property**

This Coverage Form does not insure loss or damage to:

- 1. **Contraband**
Property illegally acquired, kept, stored, or transported.
- 2. **Data**
Data, including but not limited to, **electronic data**.

B. Excluded Perils

- 1. This Coverage Form does not insure loss or damage directly or indirectly caused by or resulting from any of the following, whether or not there are one or more other causes or events (whether insured or not) that contribute concurrently or in any sequence to the occasioning of the loss or damage. These exclusions apply whether or not the loss event results in widespread damage or affects a substantial area:

(a) Communicable Disease

Communicable disease, or the fear or threat (whether actual or perceived) of a **communicable disease**. For the purposes of this exclusion, loss or damage includes, but is not limited to, any cost to clean-up, detoxify, remove, monitor or test:

- (i) For a **communicable disease**, or
- (ii) Any property insured by this Coverage Form that is affected by such **communicable disease**.

(b) Data and Cyber

- (i) Any loss of use, reduction in functionality, repair, replacement, restoration, or reproduction of any **data**, including any amount pertaining to the value of such **data**, except to the extent specifically insured by Extension of Coverage **(f)** Electronic Data Restoration Costs under **B. Extensions of Coverage of Section I. Property Damage Coverage**; or

- (ii) Any loss of, alteration of, damage to, or a reduction in the functionality, availability or operation of a **computer system**, except as follows:

Subject to all other terms, conditions and exclusions contained in the Policy, this Coverage Form will insure direct physical loss of, or direct physical damage to, **insured property**, and any **business income loss** directly resulting therefrom, to the extent **business income loss** is insured by the Equipment Breakdown Business Income Coverage Form attached to the Policy, where such direct physical loss of, or direct physical damage to, **insured property** is directly caused by any of the following perils, provided these perils are insured by this Coverage Form and not otherwise excluded:

- (1) Fire;
- (2) Lightning;
- (3) Explosion;
- (4) Aircraft or vehicle impact;
- (5) Falling objects;
- (6) Windstorm;
- (7) Hail;
- (8) Tornado;
- (9) Cyclone;
- (10) Hurricane;
- (11) Earthquake;
- (12) Volcano;
- (13) Tsunami;
- (14) Flood;
- (15) Freeze;
- (16) Weight of snow; or
- (17) Breakdown.

(c) Nuclear Energy

- (i) By any nuclear incident (as defined in the *Nuclear Liability Act* or any other nuclear liability Act, law or statute, or any amending law) or nuclear explosion;
- (ii) By contamination by radioactive material

(d) Terrorism

- (i) **Terrorism**, or by any activity or decision of a government agency or other entity to prevent, respond to, or terminate **terrorism**; or
- (ii) Biological, chemical, or radioactive contamination caused by **terrorism**.

If any portion of this exclusion is found to be invalid, unenforceable, or contrary to statute, the remainder will remain in full force and effect.

(e) War or Military Action

War, invasion, act of foreign enemy, hostilities (whether war is declared or not), civil war, rebellion, revolution, insurrection, military or usurped power, martial law, or any action taken by governmental or public authority in hindering, combating, or defending against such events.

2. This Coverage Form does not insure any increase in loss or additional expense caused by or resulting from the following:
- (a) **By-Laws**
The enforcement of any by-law, regulation, ordinance or law regulating zoning, or the demolition, repair, construction, or use of any property, including debris removal, when such by-law, regulation, ordinance or law makes it impossible to repair, reinstate, or use the property as it was immediately prior to the loss.
This exclusion does not apply to the extent specifically insured by Extensions of Coverage (c) By-Laws and (e) Debris Removal under B. Extensions of Coverage of Section I. Property Damage Coverage.
 - (b) **Hazardous Substances**
 - (i) Contamination, including ammonia contamination, damage, or pollution by a **hazardous substance**, nor the cost or expense of any resulting **clean up**;
 - (ii) For any testing, monitoring, investigating, evaluating, or assessing of any actual, alleged, potential or threatened spill, discharge, emission, dispersal, seepage, leakage, migration, release or escape of a **hazardous substance**.

This exclusion does not apply to the extent specifically insured by Extensions of Coverage (a) Ammonia Contamination and (k) Hazardous Substances under B. Extensions of Coverage of Section I. Property Damage Coverage.
3. This Coverage Form does not insure loss or damage from a **breakdown** directly or indirectly caused by or results from any of the following:
- (a) **Earth Movement**
Earth movement, including but not limited to earthquake or other seismic activity, landslide, mudflow caused by an accumulation of water on or underground, subsidence, collapse of sinkholes, volcanic eruption, tidal wave, tsunami.
 - (b) **Fire, Smoke or Combustion Explosion**
 - (i) Fire, smoke or combustion explosion;
 - (ii) The use of water or other means to extinguish a fire; or
 - (iii) Leakage or discharge of any fire protection equipment.
 - (c) **Freezing**
Freezing while **vacant**.
 - (d) **Ice and Snow**
Weight of ice or snow, if insurance for that cause of loss is provided by any other Coverage Form attached to the Policy, or any other insurance policy, in force at the time of the loss or damage, whether collectible or not.
 - (e) **Impact**
 - (i) Collision, upset or external impact to any **insured equipment**; or
 - (ii) Impact by aircraft, spacecraft, satellite, or land vehicle, including any parts thereof or articles dropped from them;
 - (f) **Lightning**
Lightning, if insurance for that cause of loss is provided by any other Coverage Form attached to the Policy, or any other insurance policy, in force at the time of the loss or damage, whether collectible or not.
 - (g) **Riot, Civil Commotion**
Riot or civil commotion however, direct physical loss of, or direct physical damage to, **insured equipment** from a **breakdown** is covered when the **breakdown** is caused by sabotage, malicious acts, and vandalism, except while **vacant**.
 - (h) **Sleet or Hail**
Sleet or hail, if insurance for that cause of loss is provided by any other Coverage Form attached to the Policy, or any other insurance policy, in force at the time of the loss or damage, whether collectible or not.
 - (i) **Wind**
Wind, including but not limited to cyclone, tornado, or hurricane.

4. This Coverage Form does not insure loss or damage caused by or resulting from any of the following:

(a) Escape of Water

Escape of water caused by or resulting from a **breakdown** unless,

- (i) Insurance for that cause of loss is not provided by any other Coverage Form attached to the Policy, or any other insurance policy, in force at the time of the loss or damage, whether collectible or not, and
- (ii) The water escapes from **insured equipment** that normally contains water or steam.

(b) Explosion

Explosion of gases or fuel within the furnace of any **insured equipment**, or within the flues or passages through which the gases of combustion pass.

(c) Fire, Smoke, or Combustion Explosion

Fire, smoke, or combustion explosion that occurs at the same time as a **breakdown** or that ensues from a **breakdown**; however, with respect to any **insured equipment** which is electrical or electronic equipment, fire damage within the said equipment that occurs at the same time as a **breakdown** or that ensues from a **breakdown** is covered.

(d) Flood

Flood, except for physical loss of, or physical damage to, **insured equipment** caused directly by resultant **breakdown**.

(e) Indirect Loss

- (i) Delay or interruption of business, manufacturing or processing;
- (ii) Lack of power, light, heat, steam, or refrigeration; or
- (iii) Any other indirect result of a **breakdown**.

This exclusion does not apply to any **business income loss**, to the extent that **business income loss** is insured by the Equipment Breakdown Business Income Form attached to the Policy, or to the extent specifically insured elsewhere in this Coverage Form.

SECTION III. LIMITS OF INSURANCE

The most the Insurer will pay for direct physical loss of, or direct physical damage to, **insured property** per any **one breakdown** is the applicable Property Damage Limit of Insurance shown in the Equipment Breakdown Declarations, or any schedule or endorsement that is part of this Coverage Form. Such limits will apply as follows:

1. Scheduled Basis

If the Property Damage Limit of Insurance is shown in the Equipment Breakdown Declarations as applying on a Scheduled Basis, then such limit only applies to the **premises** to which it is attached and is the most the Insurer will pay for such loss or damage per any **one breakdown** at that **premises**.

2. Blanket Basis

If the Property Damage Limit of Insurance is shown in the Equipment Breakdown Declarations as applying on a Blanket Basis, then such limit applies to all **premises**, but is the most the Insurer will pay for loss or damage per any **one breakdown**.

3. Loss Limit

If a Loss Limit is shown in the Equipment Breakdown Declarations, such limit is the most that the Insurer will pay for all loss or damage per any **one breakdown**, regardless of the number or type of:

(a) Coverage Forms, Extensions of Coverage, endorsements, or the extent of insurance provided; or

(b) Premise(s), locations, or items of property,

involved in the same **one breakdown**, and regardless whether the applicable Limits of Insurance apply on a Scheduled Basis or on a Blanket Basis.

The Loss Limit applies to all losses payable by:

(i) This Coverage Form; and

(ii) The Equipment Breakdown Business Income Coverage Form, if attached to the Policy, including any Extension of Coverage contained in, and any endorsement attached to, such Coverage Forms.

Any other Limit of Insurance provided by such Coverage Forms, Extensions of Coverage or endorsements are included in, and do not increase, the Loss Limit.

SECTION IV. DEDUCTIBLE

The Insurer will not pay for loss or damage per any **one breakdown** until the amount of insured loss or damage exceeds the applicable deductible specified in the Equipment Breakdown Declarations. The Insurer will then pay the amount of insured loss or damage in excess of the applicable deductible, up to the applicable Limit of Insurance.

If more than one deductible is specified in the Equipment Breakdown Declarations applicable to specific **insured equipment**, the deductible that will apply to all loss or damage is based on the specific **insured equipment** that sustained the **breakdown**. If loss or damage occurs that involves more than one **insured equipment** in any **one breakdown** under this Coverage Form, only the largest single applicable deductible will apply.

SECTION V. LOSS CONDITIONS

1. Collection from Others

The Insurer will not be liable for any loss to the extent that the Insured has collected for such loss from others.

2. Disputed Loss Agreement

If there is a recoverable loss by this insurance and there is a disagreement between this Insurer and the Property insurer as to:

(a) Which insurer is liable; or

(b) The proportion of the loss to be paid by each insurer,

then the Insurer agrees to be bound by the terms of the *Agreement Respecting Disputed Losses Between Property Insurance and Boiler and Machinery Insurance Policies* of the Insurance Bureau of Canada, provided that the Property insurer has also agreed to the terms of that agreement.

3. Limitation of Action

No person or organization may bring a legal action against the Insurer under this Coverage Form unless:

(a) There has been full compliance with all the terms and conditions of this insurance; and

(b) Any legal action is commenced within one year from the date the Insured discovered the loss, except that if the applicable law prohibits this one-year limitation period, then such period is amended to be the minimum limitation period permitted by such law.

4. Notice of Breakdown

When a **breakdown** occurs, written notice will be given by or on behalf of the Insured to the Insurer or any of its authorized agents as soon as practicable. The Insured must give like notice of any claim made on account of such **breakdown**.

The Insurer will have reasonable time and opportunity to examine the **insured property** and the **premises** before repairs are undertaken or physical evidence of the **breakdown** is removed, except for protection or salvage.

Proof of loss will be made by the Insured in such form as the Insurer may require.

If suit is brought against the Insured for loss to which this insurance is applicable, the Insured will immediately forward to the Insurer any summons or other process served upon the Insured. The Insured upon request of the Insurer will render every assistance in facilitating the investigation and adjustment of any claim and submit to examination and interrogation by any representative of the Insurer.

The Insured will not voluntarily assume any liability or incur any expense, other than at the Insured's own cost, except as otherwise expressly permitted in this Coverage Form or interfere in any negotiation for settlement or any legal proceeding, without the consent of the Insurer previously given in writing.

5. Other Insurance

If, in the event of any direct physical loss of, or direct physical damage to, property, in consequence of which a claim is or may be made under this Coverage Form, there is in force more than one insurance policy insuring the same interest, other than insurance that is specifically stated to be excess of the insurance afforded by the Policy, the liability of the Insurer will be limited to the amount of insured loss or damage in excess of the amount due from any other such insurance policy(ies), whether the Insured can collect on it or not.

However, if the other insurance policy(ies) contain a similar excess clause, the liability of the Insurer will be limited to its rateable proportion of such claim.

6. Partial Payment of Loss

In the event the amount of loss or damage for which the Insurer is liable is determined by the Insurer to be in excess of the applicable deductible, the Insurer, at the sole discretion of the Insurer, may advance partial payment(s) with respect to any claim, subject to all other terms and conditions of this Coverage Form.

7. Subrogation

The Insurer, upon making any payment or assuming liability therefore under this Coverage Form, will be subrogated to all rights of recovery of the Insured. The Insured will execute all papers necessary to secure such rights, including executing any

documents necessary to enable the Insurer to effectively bring suit in their name, and will take no action which impairs the Insurer's rights of subrogation.

Notwithstanding the foregoing, all rights of subrogation are hereby waived against any corporation, firm, or individual who is an Insured, or has an insurable interest in property insured by this Coverage Form, but only with respect to that specific property in which that entity or person has such interest.

Where the net amount recovered, after deducting the costs of recovery is not sufficient to provide a complete indemnity for the loss or damage suffered, that amount will be divided between the Insurer and the Insured in the proportion in which the loss or damage has been borne by them respectively.

Any release from liability entered into by the Insured prior to loss will not affect the right of the Insured to recover under this Coverage Form.

8. Valuation

Subject to the applicable Property Damage Limit of Insurance shown in the Equipment Breakdown Declarations, the value of property insured by this Coverage Form in the event of loss or damage will be determined as follows:

- (a)** Except as otherwise provided in this condition **8. Valuation** under Section **V. Loss Conditions**, or as specified in any endorsement attached to this Coverage Form, **insured property** will be valued, as of the time of the **breakdown**, as described below.
 - (i)** The Insurer will not pay more for loss or damage than the least of the following:
 - (1)** The Limit of Insurance applicable to the loss or damaged property;
 - (2)** The cost to replace, at the same site or an adjacent site, the lost or damaged property:
 - a.** Of like, kind, capacity, size, quality, and function; and
 - b.** Used for the same purpose; or
 - (3)** The amount actually spent that is necessary to repair or replace the lost or damaged property.
 If property:
 - i.** Is not replaced at the same site or an adjacent site, the cost described in Paragraph **8.(a)(i)(2)** above is limited to the cost which would have been incurred had the property been replaced at the original site or an adjacent site; or
 - ii.** Is replaced with property of a better kind or quality, or of a larger size or capacity, then the cost described in Paragraph **8.(a)(i)(2)** above is limited to the cost which would have been incurred had the property been replaced with property of like, kind, capacity, size, quality, and function, and used for the same purpose.
 - (ii)** The valuation described in Paragraph **8.(a)(i)** above will not apply for any loss or damage:
 - (1)** Until the lost or damaged property is actually repaired or replaced; and
 - (2)** Unless the repairs or replacement are made within 12 months after the date of the loss or damage.
 In which case such loss or damage will be valued on an **actual cash value** basis.
 - (iii)** The cost to repair, rebuild, or replace the lost or damaged property does not include the increased cost attributed to enforcement of any by-law, regulation, ordinance or law regulating the construction, use or repair of any property, except as specifically provided in Extension of Coverage **(c) By-Laws** under **B. Extensions of Coverage** of Section **I. Property Damage Coverage**.
- (b)** Business records, other than **electronic data** will be valued at:
 - (i)** The cost of blank materials for reproducing the records; plus
 - (ii)** The costs of labour to transcribe or copy the records onto blank materials for which duplicates exist.
- (c)** For **specified property**:
 - (i)** Unsold **specified property** will be valued at the price at which the goods could have been sold at the time and place of loss had no loss occurred after allowance for discounts and expenses that would have been incurred in the absence of a loss;
 - (ii)** Sold **specified property** will be valued at the selling price after allowance for discounts and expenses that would have been incurred in the absence of a loss;
- (d)** Property of others in the care, custody or control of the Insured will be valued on the same basis as if property of the Insured but, in no event to exceed the amount for which the Insured is legally liable.
- (e)** The Insurer will not pay for:
 - (i)** More for loss or damage to any component(s) or part(s) of equipment than the cost which would have been incurred had the equipment been replaced in its entirety;
 - (ii)** For loss or damage to property which is obsolete or is no longer used by the Insured or any other corporation, firm, or individual that has an insurable interest in the property.

SECTION VI. ADDITIONAL CONDITIONS

1. Breach of Conditions

If the Insured, or a third party within the Insured's control or over whom the Insured has authority, does not comply with a condition of the Policy, any claim by the Insured is invalid and the right of the Insured to recover any indemnity provided by the Policy is forfeited. However, the Insurer will not deny a claim for this reason if the Insured proves that the non-compliance neither caused nor aggravated the loss or damage.

2. Loss Payee

If any Loss Payee shown in the Schedule of Mortgagees and Loss Payees attached to the Policy is a creditor whose interest in **insured property** is established by a written instrument and both the Insured and such Loss Payee have an insurable interest in lost or damaged **insured property**, the Insurer will:

- (a) Adjust losses with the Insured; and
- (b) Pay any claim for loss or damage jointly to the Insured and to each such Loss Payee, in their order of precedence, as interests may appear.

Each Loss Payee has the right to receive loss payment, even though:

- (i) The Insurer denied the Insured's claim because the Insured failed to comply with the terms of the Policy; or
- (ii) Such Loss Payee starts foreclosure or similar actions on the **insured property**,

if such Loss Payee:

- (1) Pays any premium due at the request of the Insurer if the Insured has failed to do so;
- (2) Submits a signed, sworn proof of loss within 60 days after receiving notice from the Insurer of the failure of the Insured to do so; and
- (3) Has notified the Insurer of any change in ownership, occupancy or substantial change in risk known to such Loss Payee.

Each Loss Payee's right to receive loss payment is limited to the lesser of the following:

- a. The **actual cash value** of the lost or damaged **insured property**;
- b. Their financial interest in the **insured property** as shown in the written evidence; or
- c. The applicable Property Damage Limit of Insurance shown in the Equipment Breakdown Declarations.

In the event payment to the Insured by the Policy is denied by the Insurer because the Insured failed to comply with the terms of the Policy or otherwise, and a Loss Payee receives payment in accordance with this condition, any rights of the Loss Payee to recover said amount against the Insured will be irrevocably assigned to the Insurer.

At the option of the Insurer, any Loss Payee may be paid the whole principal on the debt plus any accrued interest. In this event, the Insured will pay the remaining debt to the Insurer.

To satisfy the requirements of any Loss Payee shown in the Schedule of Mortgages and Loss Payees attached to the Policy, copies or certified copies of policies may be sent to such Loss Payees. In no event are copies, or certified copies, of policies sent to Loss Payees to be considered as increasing the Limits of Insurance shown in the Equipment Breakdown Declarations or changing the terms of the Policy, nor are they to be considered duplicate or contributing insurance.

3. Mortgage Clause

It is hereby provided and agreed that:

(a) Breach of Conditions by Mortgagor, Owner or Occupant

The Policy and every documented renewal thereof – as to the interest of the Mortgagee therein – is and will be in force notwithstanding any act, neglect, omission or misrepresentation attributable to the Mortgagor, Owner or Occupant of the **insured property**, including transfer of interest, any vacancy or non-occupancy or the occupation of such **insured property** for purposes more hazardous than specified in the description of the risk.

Provided always that the Mortgagee will notify the Insurer (if known) of any vacancy or non-occupancy extending beyond thirty (30) consecutive days or any transfer of interest or increased hazard that will come to the knowledge of the Mortgagee; and that every increase in hazard (not permitted by this Coverage Form) will be paid for by the Mortgagee – on reasonable demand – from the date such hazard existed, according to the established scale of rates for the acceptance of such increased hazard, during the continuance of this insurance.

(b) Right of Subrogation

Whenever the Insurer pays the Mortgagee any loss awarded under this Coverage Form and claims that – as to the Mortgagor or Owner – no liability therefor existed, it will be legally subrogated to all rights of the Mortgagee against the Insured; but any subrogation will be limited to the amount of such loss payment and will be subordinate and subject to the basic right of the Mortgagee to recover the full amount of its mortgage equity in priority of the Insurer; or the Insurer may at its option pay the Mortgagee all amounts due or to become due under the mortgage or on the security thereof, and will thereupon receive a full assignment and transfer of the mortgage together with all securities held as collateral to the mortgage debt.

(c) Other Insurance

If there be other valid and collectible insurance on the **insured property** with loss payable to the Mortgagee – at law or in equity – then any amount payable thereunder will be considered in determining the amount payable to the Mortgagee.

(d) Who May Give Proof Of Loss

In the absence of the Insured, or the inability, refusal or neglect of the Insured to give notice of loss or to deliver the required Proof of Loss under this Coverage Form, then the Mortgagee may give the notice upon becoming aware of the loss and deliver as soon as practicable the proof of loss.

(e) Termination

The term of this Mortgage Clause coincides with the term of the Policy:

- (i)** Provided always, that excluding the Province of Quebec, the Insurer reserves the right to cancel the Policy as provided by Statutory provision but agrees that the Insurer will neither terminate nor alter the Policy to the prejudice of the Mortgagee without the notice stipulated in such Statutory provision; and
- (ii)** Provided always, that in the Province of Quebec, the Insurer reserves the right to cancel the Policy as provided by Articles 2477 and 2479 of the Civil Code of the Province of Quebec but agrees that the Insurer will neither terminate nor alter the Policy to the prejudice of the Mortgagee without fifteen (15) days' notice to the Mortgagee by registered letter.

(f) Foreclosure

Should title or ownership to said property become vested in the Mortgagee and/or assigns as owner or purchaser under foreclosure or otherwise, the Policy will continue until expiry or cancellation for the benefit of the said Mortgagee and/or assigns.

(g) Suspension of Insurance of Interest of Mortgagee

The Insurer reserves the right to suspend insurance, which will include any insurance applying to the interest of the Mortgagee on **insured equipment** in accordance with condition **7**. Suspension of Insurance under Section **VI**. Additional Conditions. The Insurer agrees to furnish the Mortgagee a copy of the suspension notice.

Subject to the terms of this Mortgage Clause (and these will supersede any Coverage Form provisions in conflict therewith but only as to the interest of the Mortgagee), loss under this Coverage Form is made payable to the Mortgagee.

4. Premium Adjustment

This condition only applies when the Premium Adjustment Basis is shown as adjustable in the Equipment Breakdown Declarations.

- (a)** The Insurer will compute all premiums for this Coverage Form in accordance with the Insurer's rules and rates.
- (b)** The Policy will contain a Premium Adjustment endorsement that displays the applicable advance/deposit premium, and when and how the Insurer will calculate the Named Insured's actual premium.
- (c)** The first Named Insured must keep records of the information the Insurer needs for premium computation and send the Insurer copies at such times as the Insurer may request.

5. Reinstatement of Limit of Insurance

Loss under any item of this Coverage Form, or the Equipment Breakdown Business Income Form of the Policy, will not reduce the applicable Limit of Insurance shown in the respective Declarations.

6. Special Provisions

- (a)** The Insurer will not be liable for loss from a **breakdown** of any newly acquired **insured equipment** until such **insured equipment** has been installed at the **premises**, tested, including performance and operational testing, commissioned and contractually accepted by the Insured. This provision will not apply to any **spare insured equipment**.
- (b)** As respects any boiler which uses a heat transfer medium other than water, such heat transfer medium and its vapour will be considered as substituted for the words water and steam wherever such words appear in the definition of **insured equipment**.
- (c)** As respects any unfired vessel which is used for the storage of liquid and which is periodically filled, moved, emptied, and refilled in the course of its normal service, such vessel will be considered as connected and ready for use within the terms of this Coverage Form.
- (d)** If a **breakdown** occurs to **spare insured equipment** that is connected and in use for the sole purpose of avoiding or diminishing a loss under this Coverage Form, then this **breakdown** will be considered as part of the loss being avoided or diminished and no additional deductible will apply.

7. Suspension of Insurance

Upon the discovery of any **insured equipment** in, or exposed to, a dangerous condition, any representative of the Insurer may immediately suspend insurance provided by the Policy for loss or damage from a **breakdown** to such **insured equipment** by giving written notice to the Insured by mail or facsimile, or in person at the mailing address shown in the Policy Level Declarations or at the location of the **insured equipment**.

If insurance is suspended for any **insured equipment** in accordance with this 7. Suspension of Insurance condition:

- (a) It can only be reinstated by an endorsement to the Policy issued by the Insurer; and
- (b) The Insurer will reimburse the Insured at the end of the policy period any unearned premium for such **insured equipment** for the period of time that the insurance is suspended.

8. Verification of Values

The Insurer or its duly appointed representative will be permitted at all reasonable times during the term of the Policy, or within a year after termination or expiration, to inspect the property insured and to examine the Insured's books, records and such policies which relate to any property insured by this Coverage Form. Such inspection or examination will not waive nor in any manner affect any of the terms or conditions of this Coverage Form.

SECTION VII. DEFINITIONS

Wherever used in this Coverage Form:

1. **Actual cash value** means the cost to replace or repair the lost or damaged property, less any physical depreciation, physical deterioration, depletion, or obsolescence.
Various factors will be considered in the determination of depreciation and obsolescence. The factors to be considered may include, but are not limited to:
 - (a) The condition of the property immediately before the damage;
 - (b) The market or resale value of the property; and
 - (c) The normal life expectancy of the property.
2. **Animal** means, collectively, all species in the kingdom Animalia other than humans.
3. **Breakdown** means a sudden and accidental failure of **insured equipment** or a part thereof; or a sudden and accidental failure of **electronic circuitry** forming part of **insured equipment** which manifests itself by:
 - (a) Physical damage at the time of its occurrence and necessitates repair or replacement of the **insured equipment** or part thereof; or
 - (b) Sudden loss of the **electronic circuitry's** ability to function as it has been functioning immediately before the failure.**Breakdown** does not mean or include any of the following:
 - (i) The **breakdown** of any structure, foundation, setting supporting, or housing any **insured equipment** or any part thereof;
 - (ii) The functioning of any safety device or protective device;
 - (iii) The cracking of any part of any turbine exposed to the products of combustion;
 - (iv) Leakage at any valve, fitting, shaft seal, gland packing, joint or connection;
 - (v) Wear and tear;
 - (vi) The depletion, deterioration, corrosion, or erosion of material;
 - (vii) Any **electronic circuitry** condition that can be remediated by:
 - (1) Normal maintenance, including but not limited to replacing expendable parts, recharging batteries, or cleaning;
 - (2) Rebooting, reloading, or updating software or firmware; or
 - (3) Providing necessary power or supply.
 - (viii) Any condition caused by or related to:
 - (1) Incompatibility of the **insured equipment** with any software or equipment installed, introduced or networked within the prior thirty (30) days; or
 - (2) Insufficient size, capability, or capacity of the **insured equipment**.
 - (ix) **Electronic circuitry** exposure to adverse environmental conditions including, but not limited to, change in temperature or humidity, unless such condition results in a loss of functionality. Loss of warranty will not be considered a loss of functionality.
4. **Business income loss** means any loss of business income, loss of contingent business income, or any other consequential loss.

5. **Clean up** means the removal, containment, treatment, decontamination, detoxification, stabilization, neutralization or remediation of **hazardous substances**, including testing which is integral to any of these processes.
6. **Communicable Disease** means any disease which can be transmitted by means of any substance or agent from any organism to another organism where:
 - (a) The substance or agent includes, but is not limited to, a virus, bacterium, prion, parasite or other organism or any variation thereof, whether deemed living or not, and
 - (b) The method of transmission, whether direct or indirect, includes but is not limited to, airborne transmission, bodily fluid transmission, transmission from or to any surface or object, solid, liquid or gas or between organisms, and
 - (c) The disease, substance or agent can cause or threaten damage to human health or human welfare, **animal** health or **animal** welfare or can cause or threaten damage to, deterioration of, loss of value of, marketability of or loss of use of property insured hereunder.
7. **Computer system** means any computer, hardware, software, communications system, electronic device (including, but not limited to, smart phone, laptop, tablet, wearable device), server, cloud or microcontroller including any similar system or any configuration of the aforementioned and including any associated input, output, **data** storage device, networking equipment or back up facility.
8. **Data** means representations of information or concepts, in any form.
9. **Data processing media** means any tangible property on which **electronic data** can be stored, but not the **electronic data** itself.
10. **Electronic circuitry** means tangible microelectronic components, including but not limited to circuit boards, integrated circuits, computer chips and disk drives.

Electronic circuitry does not include any software or other intangible components.
11. **Electronic data** means **data** that is recorded or transmitted in a form to be used, accessed, processed, transmitted, or stored by a **computer system**.
12. **Extra expense** means that amount paid to continue the Insured's business activities over and above the amount the Insured would have normally incurred during the same period had there been no loss or damage.
13. **Flood** means a general and temporary condition of partial or complete inundation of normally dry land areas or structures caused by:
 - (a) The rising up, breaking out or overflow of any body of water, whether natural or man-made, and their spray, all whether driven by wind (including storm surge, sea surge or wave wash) or not;
 - (b) Waves, tides, tidal waves, tsunamis; or
 - (c) The unusual or rapid accumulation or runoff of **surface water**.
14. **Green** means products, materials, methods, and processes certified by a **green authority** that conserve natural resources, reduce energy or water consumption, avoid toxic or other polluting emissions or otherwise minimize environmental impact.
15. **Green authority** means an authority on building products, materials, methods, or processes that are certified and accepted by industry associations or government as supporting environmental sustainability and/or energy conservation. These entities include but are not limited to: Leadership in Energy and Environmental Design (LEED®), Green Building Initiative (Green Globes®), Energy Star®, Building Owners and Managers Association (BOMA) BEST, any applicable Canadian Standards Association guideline, ISO Standards or any other environmental sustainability or energy conservation rating or certification system recognized by the Insurer.
16. **Hazardous substance** means:
 - (a) Any pollutant, contaminant or other substance declared by a government authority to be hazardous to health or the environment; and
 - (b) Any mould, yeast, fungus or mildew whether or not allergenic, pathogenic or toxigenic, and any substance, vapour or gas, scent or odour, or by-product produced by, emitted from or arising out of such mould, yeast, fungus or mildew or resultant mycotoxins, allergens, or pathogens.

17. Insured equipment means **insured property** consisting of:

(a) Pressure:

Any boiler, fired or unfired pressure vessel, refrigeration or air conditioning vessels and piping, or any other piping with its accessory equipment, all normally subject to vacuum or internal pressure other than static pressure of contents, any condensate return tank, or any heat exchanger that forms part of forced air heating equipment.

(b) Mechanical and Electrical:

Any mechanical or electrical machine which generates, transmits, or uses mechanical or electrical power and any fiber optic cable including the optical transmitter and receiver.

(c) Electronic:

(i) Any electronic equipment used for computing, data processing, duplicating, inventory control, monitoring, scanning, or office services; including any electronic equipment used primarily to start, stop, control, or monitor **insured equipment**;

(ii) Any electronic machine, device, or instrument including but not limited to X-ray machines, electron microscope, particle accelerator, beta gauge, spectrographs; and

(iii) Any vessel, electronic machine, or apparatus used for research, experimental, demonstration, diagnostic, therapeutic, medical, surgical, dental, or pathological purpose.

(d) Production Machinery:

Any complete production machine that processes, forms, cuts, shapes, grinds or conveys, raw material or material in process, waste material or finished product and any equipment forming a part of the driving or controlling mechanism for such production machine.

Insured equipment does not mean or include any of the following:

(1) Any boiler setting, any refractory or insulating material;

(2) Any part of a boiler or fired pressure vessel that does not contain steam or water;

(3) Any domestic or supply water piping, waste disposal piping, sprinkler system piping, or any hose;

(4) Any vehicle, aircraft, locomotive, or floating vessel;

(5) Any power shovel, dragline or any other self-propelled mobile equipment but not excluding any pressure vessel and electrical equipment, mounted on or forming a part of any such machine or apparatus;

(6) Elevator, escalator, crane or hoist, but not excluding any mechanical or electrical equipment mounted thereon;

(7) Any cylinder not sealed in PVC (Polyvinyl Chloride) protection, containing a movable plunger or piston, mounted on or forming part of an elevator or hoist;

(8) Any penstock, draft tube, or well casing;

(9) Any oven, stove, incinerator, furnace, or kiln, but not excluding any electrical or mechanical equipment mounted there on;

(10) Any felt, non-electrical wire, non-electrical cable, mould, screen, die, extrusion plate, swing hammer, grinding disc, cutting blade, chain, belt, rope, clutch plate, brake disc or mantle;

(11) Any refractory, insulating material, lining, or covering;

(12) Any **insured equipment** manufactured or held for sale by the Insured;

18. Insured property means:

(a) Property of the Insured; or

(b) Property of others in the Insured's care, custody or control and for which the Insured is legally liable.

19. Normal means the condition which would have existed had no loss occurred.

20. One breakdown means:

(a) **Breakdown of insured equipment** that causes **breakdown** of other **insured equipment**; or

(b) A series of **breakdowns** occurring at the same time as a result of the same cause.

21. Period of restoration means the period of time that:

(a) Begins with the **breakdown** causing or resulting in the loss or damage to **insured property**; and

(b) Ends on the date when the property should have been repaired, rebuilt or replaced with reasonable speed and similar quality.

The **period of restoration** is not limited by the expiry date of this Policy.

22. Premises means the location(s) owned, leased or occupied by the Insured described on the Equipment Breakdown Declarations.

23. Spare Insured Equipment means **insured equipment** that has been acquired by the Insured prior to the **breakdown** and held specifically to spare existing operating **insured equipment**.

- 24. Specified Property** means the specific **insured property** as described in the Equipment Breakdown Declarations of this Policy.
- 25. Surface water** means water or natural precipitation temporarily diffused over the surface of the ground.
- 26. Terrorism** means an ideologically motivated unlawful act or acts, including but not limited to the use of violence or force or threat of violence or force, committed by or on behalf of any group(s), organization(s) or government(s) for the purpose of influencing any government and/or instilling fear in the public or a section of the public.
- 27. Vacant** means the insured **premises** does not contain enough **insured property** to conduct customary operations for a period of 30 consecutive days or more.

Deductible Waiver Endorsement

This endorsement changes the Coverage Form. Please read it carefully.

This endorsement modifies insurance provided under the Equipment Breakdown Coverage Form.

1. For the purposes of this endorsement, the following is added to Section IV. Deductible: With respect to a subsequent breakdown to insured equipment that was repaired or replaced while covered by this Coverage Form, the applicable deductible will be waived for a period of two (2) years from the date of the original breakdown should the repaired part(s), replacement part(s) or replacement equipment sustain a subsequent breakdown from a similar cause. The waiver of deductible will apply as follows: 1. Solely for the expense to repair or replace the same or replacement insured equipment that was previously damaged and such waiver will not apply to any resultant damage to any other insured equipment, nor to any business income loss or extra expenses. 2. The amount of the deductible waived will be limited to \$1,000 for any insured equipment, except \$2,500 for production machinery, or the deductible amount applied to the initial loss to repair or replace the damaged insured equipment, whichever is less. 3. Only during the time of continuous coverage while insured by the current Coverage Form.

Except as otherwise provided in this endorsement, all terms, limitations, exclusions, provisions and conditions of the Coverage Form remain unchanged.

Equipment Breakdown Business Income Coverage Form

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Equipment Breakdown Business Income Coverage Form

This Equipment Breakdown Business Income Coverage Form is part of the Policy. Various provisions in this Coverage Form and the Policy restrict insurance. Read the entire Policy carefully to determine rights, duties and what is and is not insured.

Throughout this Coverage Form, the word Insured refers to the person or organization shown as the Named Insured in the Policy Level Declarations. The word Insurer refers to the company(ies) providing this insurance. The term Business Income has special meaning. Refer to **B. Business Income** under Section **I. Business Income Coverage**.

Words and phrases that appear in **bold** font have special meaning. Refer to Section **VII. Definitions** in this Coverage Form, and Section **VII. Definitions** in the Equipment Breakdown Coverage Form.

The titles of the various sections, paragraphs, and clauses of this Coverage Form and any endorsements attached to this Coverage Form are inserted solely for convenience or reference and are not to be deemed in any way to limit or affect the provisions to which they relate.

SECTION I. BUSINESS INCOME COVERAGE

A. Indemnity Agreement

Subject to all other terms, conditions, limitations and exclusions of this Coverage Form and the Equipment Breakdown Coverage Form, the Insurer agrees with the Insured as follows:

The Insurer will indemnify the Insured the actual loss of Business Income sustained during the **indemnity period** due to a **suspension**. The **suspension** must be caused by or result from direct physical loss of, or direct physical damage to, property caused by or resulting from a **breakdown**.

Unless otherwise specified, this Coverage Form only applies to **premises** for which a Business Income Limit of Insurance applies as shown in the Equipment Breakdown Business Income Declarations. If an insured Business Income loss involves more than one **premises**, including interdependency between one or more **premises**, such Business Income loss will be adjusted based on the Business Income insurance that applies at the **premises** where the insured direct physical loss of, or direct physical damage to, property caused by or resulting from a **breakdown** occurred.

B. Business Income

The Equipment Breakdown Business Income Declarations will show one or more of the following options for Business Income:

1. Gross Earnings Option

When the Equipment Breakdown Business Income Declarations shows Gross Earnings, Business Income means the reduction in **gross earnings**, less **continuing operating expenses** which do not necessarily continue.

2. Gross Profits Option

When the Equipment Breakdown Business Income Declarations shows Gross Profits, Business Income means the loss of **gross profit** due to the reduction in **sales** and the increase in cost of working, subject to the following:

- (a) The reduction in **sales** is the sum produced by applying the **rate of gross profit** to the amount by which the **sales** during the **indemnity period** will, in consequence of the direct physical loss of, or direct physical damage to, property by a **breakdown**, fall short of the **standard sales**;
- (b) The increase in cost of working is the additional expenditure necessarily and reasonably incurred for the sole purpose of avoiding or diminishing the reduction in **sales** which, but for that expenditure, would have taken place during the **indemnity period** in consequence of the direct physical loss of, or direct physical damage to, property by a **breakdown**, but not exceeding the sum produced by applying the **rate of gross profit** to the amount of the reduction thereby avoided;

less any sum saved during the **indemnity period** in respect of such of the **continuing operating expenses** as may cease or be reduced in consequence of the direct physical loss of, or direct physical damage to, property by a **breakdown**.

If any **continuing operating expenses** of the business is not insured by this Coverage Form, then in computing the amount recoverable hereunder as increase in cost of working, that proportion only of the additional expenditure will be brought into account which the sum of the **net profit** and the **continuing operating expenses** bears to the sum of the **net profit** and all **continuing operating expenses**.

3. Gross Rents Option

When the Equipment Breakdown Business Income shows Gross Rents, Business Income means the loss of **gross rents** due to the reduction in **gross rents** and increase in cost of working, subject to the following:

- (a) The reduction in **gross rents** is the amount by which the **gross rents** during the **indemnity period** will, in consequence of the direct physical loss of, or direct physical damage to, property by a **breakdown**, fall short of the **standard gross rents**;
- (b) The increase in cost of working is the additional expenditure necessarily and reasonably incurred for the sole purpose of avoiding or diminishing the reduction in **gross rents** which but for that expenditure would have taken place during the **indemnity period** in consequence of the direct physical loss of, or direct physical damage to, property by a **breakdown**, but not exceeding the loss of **gross rents** thereby avoided,

less any sum saved during the **indemnity period** in respect of costs as may cease or be reduced in consequence of the direct physical loss of, or direct physical damage to, by a **breakdown**.

C. Indemnity Period

1. Gross Earnings Option

When the Equipment Breakdown Business Income Declarations shows this option, the **indemnity period** begins with the date of direct physical loss of, or direct physical damage to, property by a **breakdown**, and ends on the earliest of:

- (a) The date when the loss or damage could have been repaired, rebuilt or replaced with reasonable speed and similar quality; or
- (b) The date the **operations** of the Insured are restored to the condition that would have existed if such loss or damage had not occurred; or
- (c) The number of months shown in the Equipment Breakdown Business Income Declarations.

2. Gross Profits or Gross Rents Option

When the Equipment Breakdown Business Income Declarations shows one or both of these two options, the **indemnity period** begins with the date of the direct physical loss of, or direct physical damage to, property by a **breakdown**, and ends on the earliest of:

- (a) The date when the Business Income of the Insured is no longer affected by such loss or damage; or
- (b) The number of months shown in the Equipment Breakdown Business Income Declarations.

If two or more **indemnity periods** apply to **one breakdown**, such periods will not be cumulative.

D. Ordinary Payroll Expense

When the Equipment Breakdown Business Income Declarations shows that:

- 1. **Ordinary payroll expense** is Included, then any Business Income insurance provided for **continuing operating expenses** incurred includes **ordinary payroll expense**.
- 2. **Ordinary payroll expense** is Not Insured, then any Business Income insurance provided for **continuing operating expenses** does not include **ordinary payroll expense**.
- 3. **Ordinary payroll expense** is limited to a specific number of days, then any Business Income insurance provided for **continuing operating expenses** only includes the **ordinary payroll expense** incurred during the number of days shown. The number of days may be used in two separate periods during the **indemnity period**.

E. Extensions of Coverage

The insurance provided by the Indemnity Agreement of this Coverage Form is extended to include the following Extensions of Coverage, subject to all other terms, conditions, limitations and exclusions of this Coverage Form and the Equipment Breakdown Coverage Form.

Unless otherwise specified, the Limit of Insurance shown in the Equipment Breakdown Business Income Declarations for each Extension of Coverage is the most the Insurer will pay for all loss or damage insured by such Extension of Coverage per any **one breakdown**, regardless of the number of **premises** or locations involved in the **one breakdown**, and such limit is included in, and does not increase, the applicable Business Income Limit of Insurance for this Coverage Form.

If Not Insured is shown in the Equipment Breakdown Business Income Declarations for any Extension of Coverage, then any insurance for loss or damage that would otherwise be provided by such Extension of Coverage is not insured by this Coverage Form.

Unless otherwise specified, each of the following Extensions of Coverage:

1. Is not subject to condition 1. Coinsurance under Section VI. Additional Conditions;
2. Does not apply if the loss or damage is more specifically insured elsewhere in this Coverage Form.

(a) Cloud Computing Service Interruption

This Coverage Form is extended to insure the actual loss of Business Income sustained by the Insured during the **indemnity period** due to a **suspension** caused by or resulting from direct physical loss of, or direct physical damage to, equipment which is used to supply **cloud computing services** to a **premises**, provided that the equipment is located in Canada or any other country in which a **premises** is located. The direct physical loss or direct physical damage must be caused by or result from a **breakdown**.

This Extension of Coverage does not apply to loss or damage directly or indirectly arising from:

- (i) A sudden and accidental failure of **electronic circuitry**; or
- (ii) An interruption of **cloud computing services** that does not exceed the Waiting Period specified in the Equipment Breakdown Business Income Declarations.

For the purposes of the insurance provided by this Extension of Coverage, any reference to **insured equipment** in the definition of **breakdown** is amended to equipment of a type described in the definition of **insured equipment** that is not owned, operated, or controlled by the Insured.

(b) Contingent Business Income

This Coverage Form is extended to insure the actual loss of Business Income sustained by the Insured during the **indemnity period** due to a **suspension** caused by or resulting from direct physical loss of, or direct physical damage to, equipment located at a **contingent property location** within Canada or any other country in which a **premises** is located. The direct physical loss or direct physical damage must be caused by or result from a **breakdown**.

This Extension of Coverage does not apply to loss or damage directly or indirectly arising from:

- (i) A sudden and accidental failure of **electronic circuitry**; or
- (ii) An interruption at a **contingent property location** that does not exceed the Waiting Period, if applicable, specified in the Equipment Breakdown Business Income Declarations.

The Limit of Insurance shown in the Equipment Breakdown Business Income Declarations for this Extension of Coverage is the most the Insurer will pay per any **one breakdown**, regardless of the number or type of **contingent property locations** involved in the **one breakdown**.

The Limit of Insurance shown in the Equipment Breakdown Business Income Declarations for this Extension of Coverage applies in addition to the Business Income Limit of Insurance shown for this Coverage Form.

For the purposes of the insurance provided by this Extension of Coverage, any reference to **insured equipment** in the definition of **breakdown** is amended to equipment of a type described in the definition of **insured equipment** that is not owned, operated, or controlled by the Insured.

(c) Ingress/Egress

This Coverage Form is extended to insure the actual loss of Business Income sustained by the Insured during the **indemnity period** due to a **suspension** caused by or resulting from physically obstructed ingress to, or egress from, the **premises** due to direct physical loss of, or direct physical damage to, property that is located within 1600 metres of the **premises** caused by or resulting from a **breakdown**. Such obstruction cannot be the result of an action of civil authority that prohibits access to the **premises**.

This Extension of Coverage does not apply to loss or damage directly or indirectly arising from a sudden and accidental failure of **electronic circuitry**.

This Extension of Coverage will only apply if the period of time ingress to or egress from the **premises** is physically obstructed exceeds the Waiting Period shown in the Equipment Breakdown Business Income Declarations.

If the Waiting Period is exceeded, then the Insurer will pay for the loss of Business Income sustained, during the time ingress to or egress from remains physically obstructed, but not to exceed the number of consecutive days specified in the Equipment Breakdown Business Income Declarations following such obstruction.

For the purposes of the insurance provided by this Extension of Coverage, any reference to **insured equipment** in the definition of **breakdown** is amended to equipment of a type described in the definition of **insured equipment** that is not owned, operated, or controlled by the Insured.

(d) Interruption by Civil Authority

This Coverage Form is extended to insure the actual loss of Business Income sustained by the Insured during the **indemnity period** due to a **suspension** caused by or resulting from prohibited access to the **premises** by order of civil authority, but only when such order is given as a result of direct physical of, or direct physical damage to, neighbouring property caused by or resulting from a **breakdown**.

This Extension of Coverage does not apply to loss or damage directly or indirectly arising from a sudden and accidental failure of **electronic circuitry**.

This Extension of Coverage will only apply if the period of time access to the **premises** is prohibited by order of civil authority exceeds the Waiting Period shown in the Equipment Breakdown Business Income Declarations.

If the Waiting Period is exceeded, then the Insurer will pay for the loss of Business Income sustained, during the time access to the **premises** remains prohibited, but not to exceed the number of consecutive days shown in the Equipment Breakdown Business Income Declarations following such prohibited access.

For the purposes of the insurance provided by this Extension of Coverage, any reference to **insured equipment** in the definition of **breakdown** is amended to equipment of a type described in the definition of **insured equipment** that is not owned, operated, or controlled by the Insured.

(e) Public Relations

This Coverage Form is extended to insure the necessary and reasonable additional costs incurred by the Insured for professional public relations services to create and disseminate communications, when the need for such communication is due to a **suspension** caused by or resulting of a **breakdown**.

Such costs must be incurred during the period that begins at the time of the **breakdown** and continues until 30 consecutive days after the date the **insured property** is repaired or replaced or the length of time as would be required to rebuild, repair, or replace, with reasonable speed and similar quality the lost or damaged **insured property**.

(f) Service Interruption

This Coverage Form is extended to insure the actual loss of Business Income sustained by the Insured during the **indemnity period** due to a **suspension** caused by or resulting from direct physical loss of, or direct physical damage to equipment caused by or resulting from a **breakdown**, provided the equipment is:

- (i) Located on or within 1,000 metres of the **premises**;
- (ii) Owned by the building owner at the **premises** or by a public or private utility company; and
- (iii) Used to supply steam, gas, air, water, refrigeration, electricity, air conditioning, heating, or communication services to the **premises**.

This Extension of Coverage does not apply to loss or damage directly or indirectly arising from:

- (1) Spoilage to **specified property**;
- (2) A sudden and accidental failure of **electronic circuitry**; or
- (3) An interruption of services that does not exceed the Waiting Period specified in the Equipment Breakdown Business Income Declarations.

For the purposes of the insurance provided by this Extension of Coverage, any reference to **insured equipment** in the definition of **breakdown** is amended to equipment of a type described in the definition of **insured equipment** that is not owned, operated, or controlled by the Insured.

SECTION II. EXCLUSIONS

The following exclusions apply in addition to the exclusions contained in the Equipment Breakdown Coverage Form:

This Coverage Form does not insure:

1. Contractual Penalties

Any increase in loss of Business Income due to fines or damages for breach of contract or for late or non-completion or non-compliance of orders, or for any penalties of whatever nature, or any costs incurred solely in an effort to eliminate or reduce such fines, damages or penalties.

2. Sold Specified Property

That part of any loss of Business Income resulting from:

- (a) Loss of, or damage to, sold **specified property** that is in its completed state and ready for sale; nor
- (b) The time required to reproduce any sold **specified property** described in (a) above which may be lost or damaged.

This exclusion does not apply to any **specified property** described in (a) above that is held for sale on the **premises** or an retail outlet insured by this Coverage Form.

3. Interference by Others

Any increase in loss of Business Income due to interference by strikers or other persons, with rebuilding, repairing, or replacing the property, or with the resumption or continuation of **operations**.

4. Suspension, Lapse or Cancellation of Any Lease

Any increase in loss of Business Income due to the suspension, lapse or cancellation of any lease or license, contract or order, which may affect the Insured's earnings after the period following any loss during which indemnity is payable; however, if the suspension, lapse, or cancellation is directly caused by or results from a **suspension** due to direct physical loss of, or direct physical damage to, property caused by or resulting from a **breakdown**, then the Insurer will insure the loss of Business Income to the extent that it increases the loss of Business Income sustained by the Insured during the **indemnity period**.

SECTION III. LIMITATIONS**1. Data Processing Media Limitation**

With respect to loss of Business Income sustained by the Insured due to a **suspension** caused by or resulting from direct physical loss of, or direct physical damage to, **data processing media** caused by or resulting from a **breakdown**, the length of time for which the Insurer will be liable will not exceed the greater length of time of;

- (a) 30 consecutive days from the date of the direct physical loss or direct physical damage; or
- (b) The length of time that would be required to rebuild, repair, or replace, with reasonable speed and similar quality, other property to which insurance applies, which has sustained direct physical loss or direct physical damage in the same **breakdown**.

SECTION IV. LIMITS OF INSURANCE

The most the Insurer will pay for loss of Business Income per any **one breakdown** is the applicable Limit of Insurance shown in the Equipment Breakdown Business Income Declarations, or any schedule or endorsement that are part of this Coverage Form. Such limits will apply as follows:

1. Scheduled Basis

If a Limit of Insurance is shown in the Equipment Breakdown Business Income Declarations as applying on a Scheduled Basis, then such limit only applies to the **premises** to which it is attached and is the most the Insurer will pay for such loss or damage per any **one breakdown** at that **premises**.

2. Blanket Basis

If a Limit of Insurance is shown in the Equipment Breakdown Business Income Declarations as applying on a Blanket Basis, then such limit applies to all **premises**, but is the most the Insurer will pay for loss or damage per any **one breakdown**, regardless of the number of **premises** involved in the same **one breakdown**.

SECTION V. LOSS CONDITIONS

The following conditions apply in addition to the Policy Level Terms and Conditions, the Statutory and General Conditions and the Loss Conditions and Additional Conditions of the Equipment Breakdown Coverage Form:

1. Alternate Trading

If, during the **indemnity period**, goods are, or will be, sold or services are, or will be, rendered elsewhere than at the **premises** for the benefit of the business, either by the Insured or by others on behalf of the Insured, the money paid or payable in respect of such sales or service will be brought into account in arriving at the **sales** during the **indemnity period**.

2. Commencement of Liability

The commencement of the Insurer's liability for insurance provided by this Coverage Form will be the time of the **breakdown** or 24 hours before the notice of the **breakdown** is received by the Insurer, whichever is later.

3. Experience of the Business

Due consideration will be given to the actual experience of the business before and after the date of loss or damage and the probable experience during the **indemnity period** had no loss or damage occurred, including the continuation of only those **normal** charges and expenses that would have existed had no **suspension** occurred.

4. Multiple of Average Daily Value (ADV)

If a multiple of **ADV (Average Daily Value)** is shown in the Equipment Breakdown Business Income Declarations, the Insurer will not pay for loss or damage per any **one breakdown** until the amount of insured loss or damage exceeds the total **ADV** of all locations where business is interrupted or interfered with times the multiple specified in the Equipment Breakdown Business Income Declarations. The Insurer will then pay the amount of insured loss or damage in excess of such amount, up to the applicable Limit of Insurance.

If more than one multiple of **ADV** is specified in the Equipment Breakdown Business Income Declarations applicable to specific **insured equipment**, the multiple of **ADV** that will apply to all loss or damage is based on the specific **insured equipment** that sustained the **breakdown**. If loss or damage occurs that involves more than one **insured equipment** in any **one breakdown** under this Coverage Form, only the largest of the single applicable **ADV** will apply.

5. Obligation to Minimize Loss

In the event of any direct physical loss of, or direct physical damage to, property caused by or resulting from a **breakdown** in consequence of which a claim is or may be made under this Coverage Form, the Insured will with due diligence do and concur in doing and permit to be done all things which may be reasonably practicable to minimize or check any **suspension** or to avoid or diminish the loss.

6. Other Coverage Form

If, in the event of any direct physical loss of, or direct physical damage to, property, in consequence of which a claim is or may be made under this Coverage Form, there is in force more than one Coverage Form in the Policy insuring the same interest, the liability of the Insurer under each Coverage Form will be limited to their respective rateable proportion of such claim.

7. Resumption of Operations

If the Insured could reduce the amount of Business Income Loss:

- (a) By completely or partially resuming **operations**, or
- (b) By making use of other property, including stock, at the **premises**, or elsewhere, or
- (c) By making use of any property or services available from other sources,

such reduction will be considered in determining the amount of Business Income loss payable by this Coverage Form.

If the Insured does not resume **operations** as quickly as possible, or does not resume **operations** at all, the Insurer will indemnify the Insured for that loss of Business Income based on the length of time it should have taken to resume **operations** as quickly as possible.

8. Waiting Period

If a Waiting Period is shown in the Equipment Breakdown Business Income Declarations, the Insurer will not pay for loss of Business Income that is incurred per any **one breakdown** during the period of time that:

- (a) Begins at the time of the insured direct physical loss, or direct physical damage, that triggers the Business Income insurance; and
- (b) Continues for the consecutive number of hours or days shown in the Equipment Breakdown Business Income Declarations as the applicable Waiting Period.

If more than one Business Income Waiting Period is specified in the Equipment Breakdown Business Income Declarations applicable to specific **insured equipment**, the Waiting Period that will apply to all loss or damage is based on the specific **insured equipment** that sustained the **breakdown**. If loss or damage occurs that involves more than one **insured equipment** in any **one breakdown** under this Coverage Form, only the largest of the single applicable Waiting Period will apply.

SECTION VI. ADDITIONAL CONDITIONS

The following conditions apply in addition to the Policy Level Terms and Conditions, the Statutory and General Conditions, and the Loss Conditions and Additional Conditions of the Equipment Breakdown Coverage Form:

1. Coinsurance

The Insurer will not be liable for the full amount of any loss if the value of Business Income at the time and place of loss multiplied by the coinsurance percentage shown for it in the Equipment Breakdown Business Income Declarations is greater than the Limit of Insurance for such Business Income.

Instead, the most that will be paid will be determined as follows:

- (a) Multiply the value of the Business Income at the time and place of loss by the coinsurance percentage;
- (b) Divide the Limit of Insurance of the Business Income by that value determined in step (a) above;
- (c) Multiply the total amount of the insured loss, before the application of any Multiple of Average Daily Value, if applicable, by that value determined in step (b) above; and
- (d) Subtract the Multiple of Average Daily Value, if applicable, from the value determined in step (c) above.

The Insurer will pay the amount determined in step (d) above, or the Limit of Insurance, whichever is less.

If a Limit of Insurance is shown in the Equipment Breakdown Business Income Declarations as applying on a Scheduled Basis, the coinsurance percentage applies to Business Income at each separate **premises**.

If a Limit of Insurance is shown in the Equipment Breakdown Business Income Declarations as applying on a Blanket Basis, the coinsurance percentage applies to all Business Income at all **premises**.

This Coinsurance condition does not apply where the loss does not exceed the lesser of 5% of the applicable Limit of Insurance, or \$10,000.

2. Premium Audit

This condition only applies when the Premium Audit Adjustment Basis is shown as adjustable in the Equipment Breakdown Business Income Declarations.

- (a) The Insurer will compute all premiums for this Coverage Form in accordance with the Insurer's rules and rates.
- (b) The Policy will contain a Premium Adjustment endorsement that displays the applicable advance/deposit premium, and when and how the Insurer will calculate the Named Insured's actual premium.
- (c) The first Named Insured must keep records of the information the Insurer needs for premium computation and send the Insurer copies at such times as the Insurer may request.

SECTION VII. DEFINITIONS

The following definitions apply in addition to the definitions in the Equipment Breakdown Coverage Form.

Wherever used in this Coverage Form:

1. **ADV (Average Daily Value)** means as applicable to any **premises**, the amount obtained by dividing the estimated number of working days, had no **breakdown** occurred, during the **indemnity period**, into the sum of the estimated amount of Business Income that would have been applicable to the business during the **indemnity period**, had no **breakdown** occurred.
2. **Cloud computing services** mean professional, on-demand, self-service data storage or data processing services provided through the internet or over telecommunications lines. This includes services known as IaaS (Infrastructure as a Service), PaaS (Platform as a Service), SaaS (Software as a Service) and NaaS (Network as a Service). This includes business models known as public clouds, community clouds and hybrid clouds. Cloud Computing Services include private clouds if such services are owned and operated by a third party used by the Insured.

- 3. Contingent property location** means any of the following location(s) operated by a person or organization other than the Insured:
- (a) A location of an organization that is a direct: customer, supplier, contract manufacturer, or contract service provider to the Insured;
 - (b) A location of an organization that is a direct or indirect: customer, supplier, contract manufacturer, or contract service provider to those described in (a) above; or
 - (c) A location within 1600 metres of the **premises** that attracts customers to those **premises**.
- Contingent property location** does not include:
- (i) Any location that directly or indirectly:
 - (1) Supplies steam, gas, air, water, refrigeration, electricity, air conditioning, heating, communication services or **cloud computing services** to the Insured; or
 - (2) Receives steam, gas, air, water, refrigeration, electricity, air conditioning, heating, communication services or **cloud computing services** from the Insured.
 - (ii) Any **premises**.
- 4. Continuing operating expenses** mean those operating expenses that continue to be incurred by the Insured in whole or in part after a **suspension** caused by or resulting from direct physical loss of, or direct physical damage to, property caused by or resulting from a **breakdown**.
- Continuing operating expenses** may or may not include **ordinary payroll expense**.
- But **continuing operating expenses** do not include:
- (a) Depreciation of **insured property**; or
 - (b) Bad debts.
- 5. Gross earnings** mean the sum of:
- (a) Total net sales value of production,
 - (b) Total net sales of merchandise, and
 - (c) Other earnings derived from operations of the business, less the cost of:
 - (i) Raw materials from which such production is derived,
 - (ii) Supplies consisting of materials consumed directly in the conversion of such raw materials into finished stock or in supplying the service(s) sold by the Insured,
 - (d) Merchandise sold, including packaging materials therefor, and
 - (e) Service(s) purchased from outsiders (not employees of the Insured) for resale, which do not continue under contract.
- 6. Gross profit** means the sum produced by adding to the **net profit** the amount of the insured **continuing operating expenses** or, if there is no **net profit**, the amount of the insured **continuing operating expenses** less such a proportion of any net trading loss as the amount of the insured **continuing operating expenses** bears to all **continuing operating expenses** of the business.
- 7. Gross rents** mean the money paid or payable to the Insured by tenants in respect of rental of the **premises**.
- 8. Indemnity period** means, subject to any applicable Waiting Period, the period of time that:
- (a) Begins at the time of direct physical loss of, or direct physical damage to, property caused by or resulting from a **breakdown**; and
 - (b) Ends based on the option shown in the Equipment Breakdown Business Income Declarations and as described in **C. Indemnity Period** under Section **I. Business Income Coverage**.
- The expiration of the Policy will not reduce the **indemnity period**.
- 9. Net profit** means the net trading profit (exclusive of all capital receipts and accretions and all outlay properly chargeable to capital) resulting from the **operations** after due provision has been made for all **continuing operating expense** and other charges including depreciation, but before the deduction of any taxation chargeable on profits.
- 10. Operations** mean the business activities of the Insured occurring at the **premises** even if such activities would not have produced income during the **indemnity period**, such as research and development activities, and the tenantability of the **premises**.
- 11. Ordinary payroll expense** means the entire payroll expense, including associated employee benefits, for all the employees of the Insured, except officers, executives, department managers, employees under contract or similar key employees.
- 12. Rate of gross profit** means the **rate of gross profit** earned on the **sales** during the financial year immediately before the date of the direct physical loss of, or direct physical damage to, property caused by or resulting from a **breakdown**.
- 13. Sales** mean the money paid or payable to the Insured for goods sold and delivered and for services rendered in course of the **operations**.

- 14. Standard gross rents** mean the **gross rents** during that period in the twelve months immediately before the date of the direct physical loss of, or direct physical damage to, property caused by or resulting from a **breakdown** which corresponds with the **indemnity period**.
- 15. Standard sales** mean the **sales** during that period immediately before the date of the direct physical loss of, or direct physical damage to, property caused by or resulting from a **breakdown** which corresponds with the **indemnity period**.
- 16. Suspension** means:
- (a) The necessary partial or complete cessation of the **operations**; or
 - (b) That part or all of the **premises** that is necessarily rendered untenable.